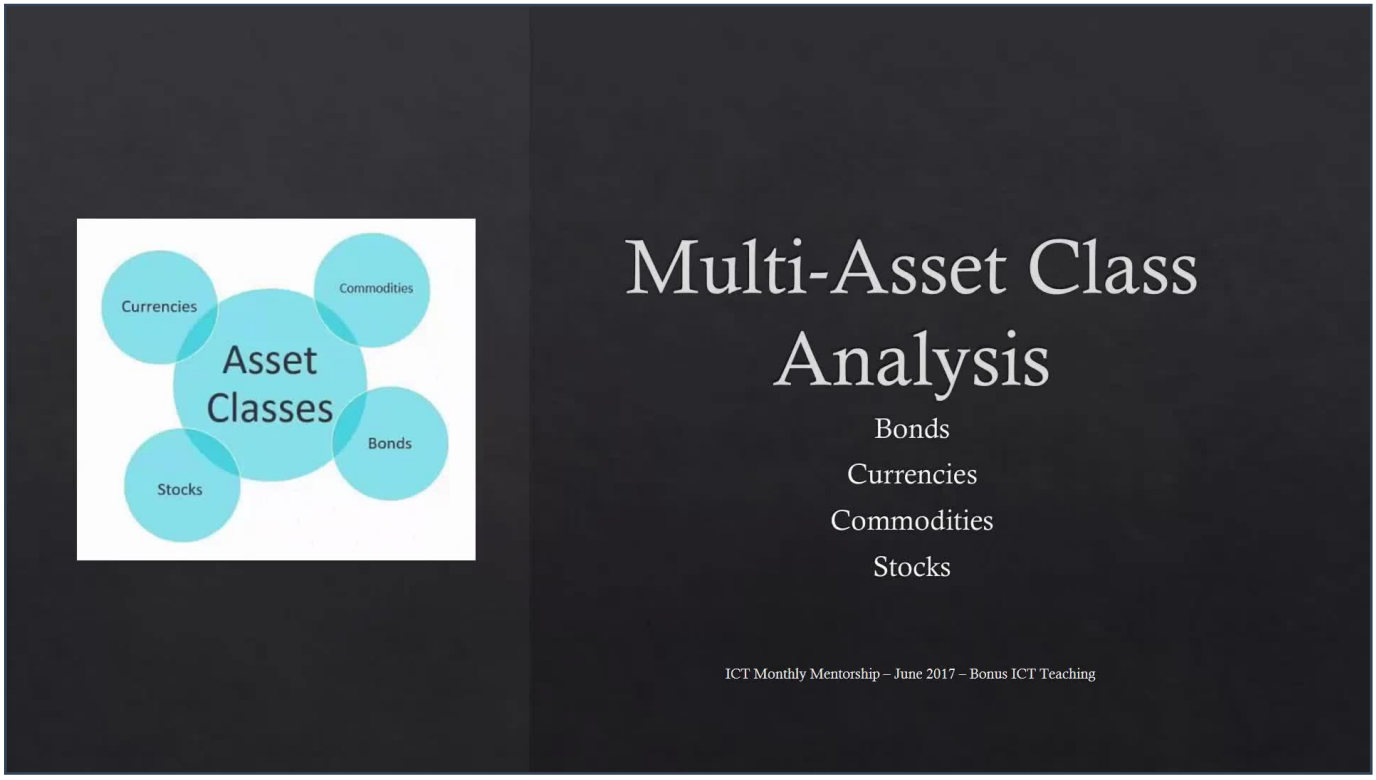
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 10 - IMPORTANCE OF MULTI-ASSET ANALYSIS



The June content for the ICT mentorship has concluded, and this session serves as a summary of the topics introduced and exposed. Many participants perceived this content as 'filler' or unnecessary, believing they would 'come back to that later on'.

THE PURPOSE OF MULTI-ASSET CLASS ANALYSIS

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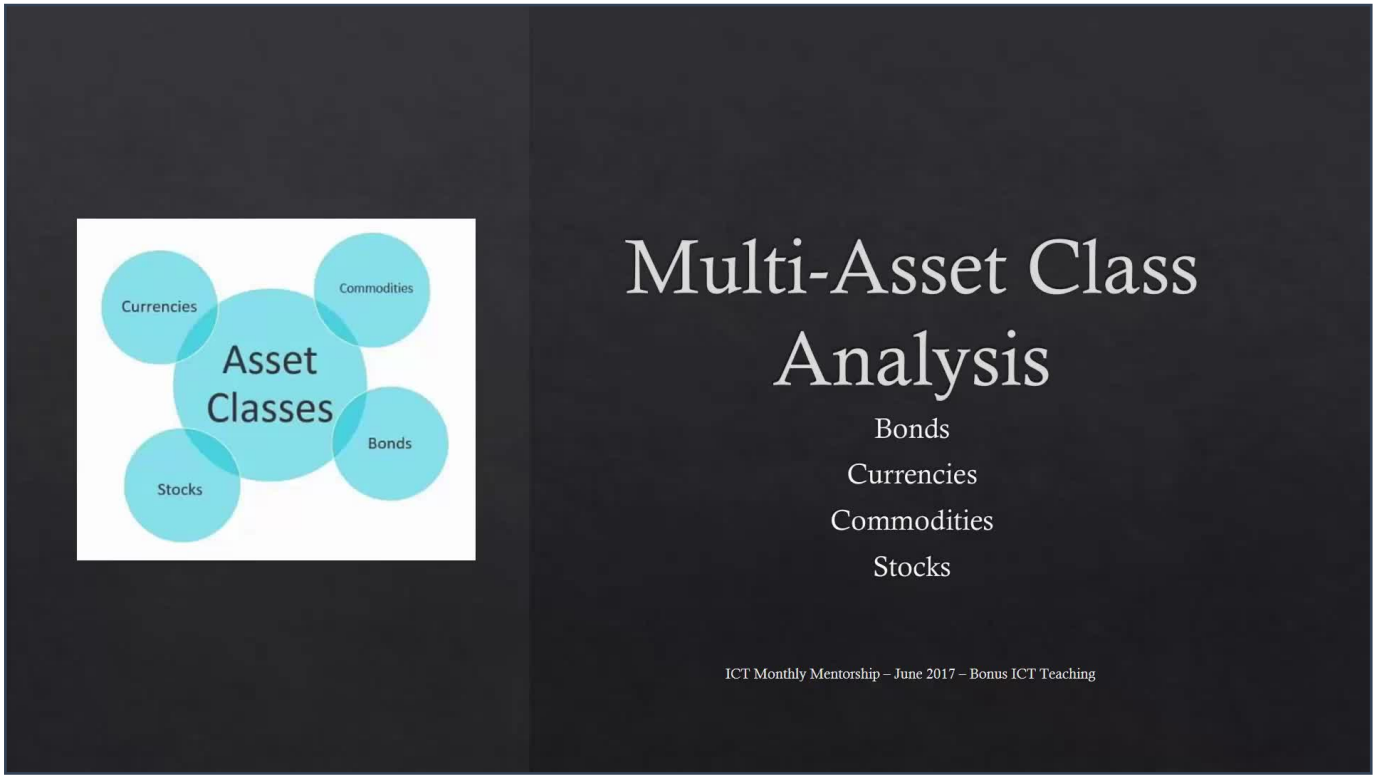
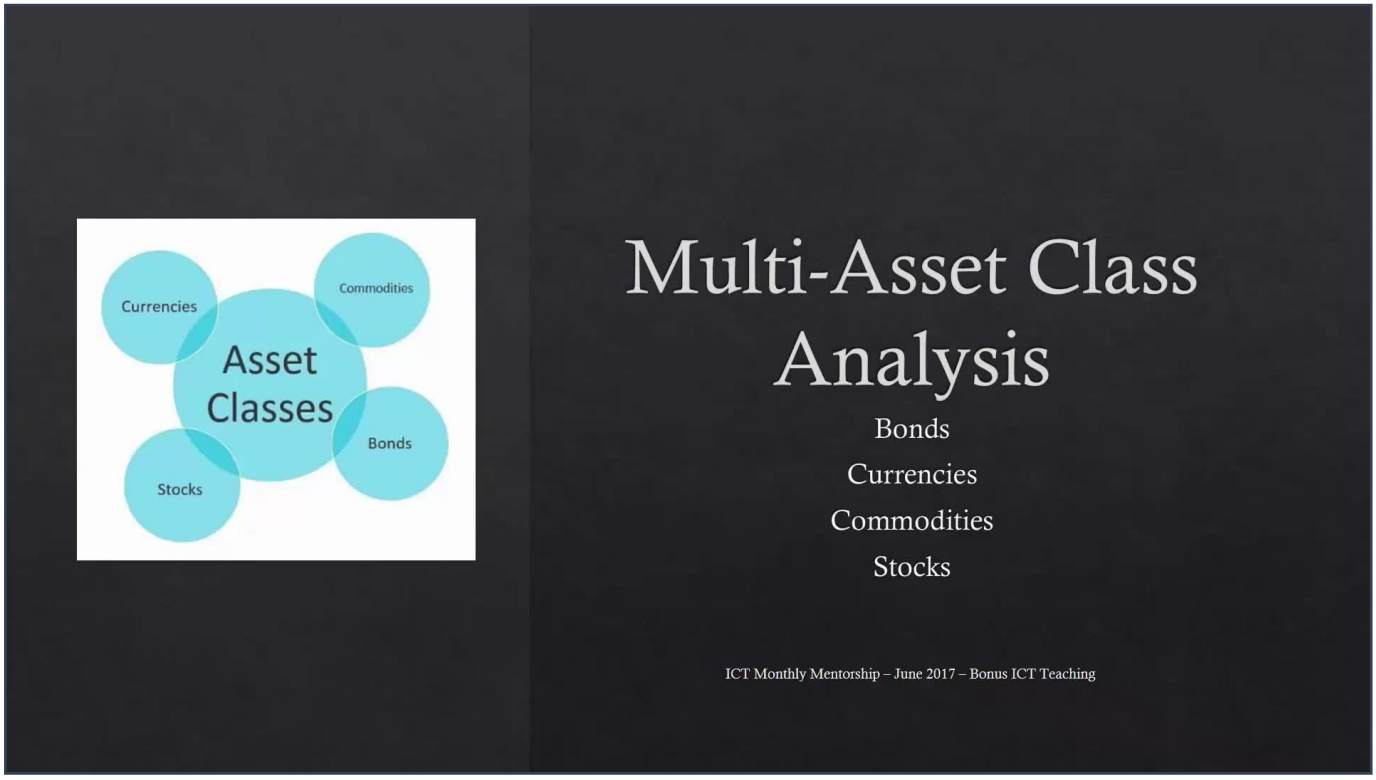


It is unfortunate that some felt the content was unnecessary, because the core purpose of multi-asset class analysis is to look at bonds, currencies, commodities, and stocks as a whole. It's about understanding how they are interrelated.

- You are encouraged to review the month's content to identify the symmetry between all four asset classes.

- There is a common theme to be grasped, which requires seeing the interconnections and understanding when they are most likely to be in sync with one another.

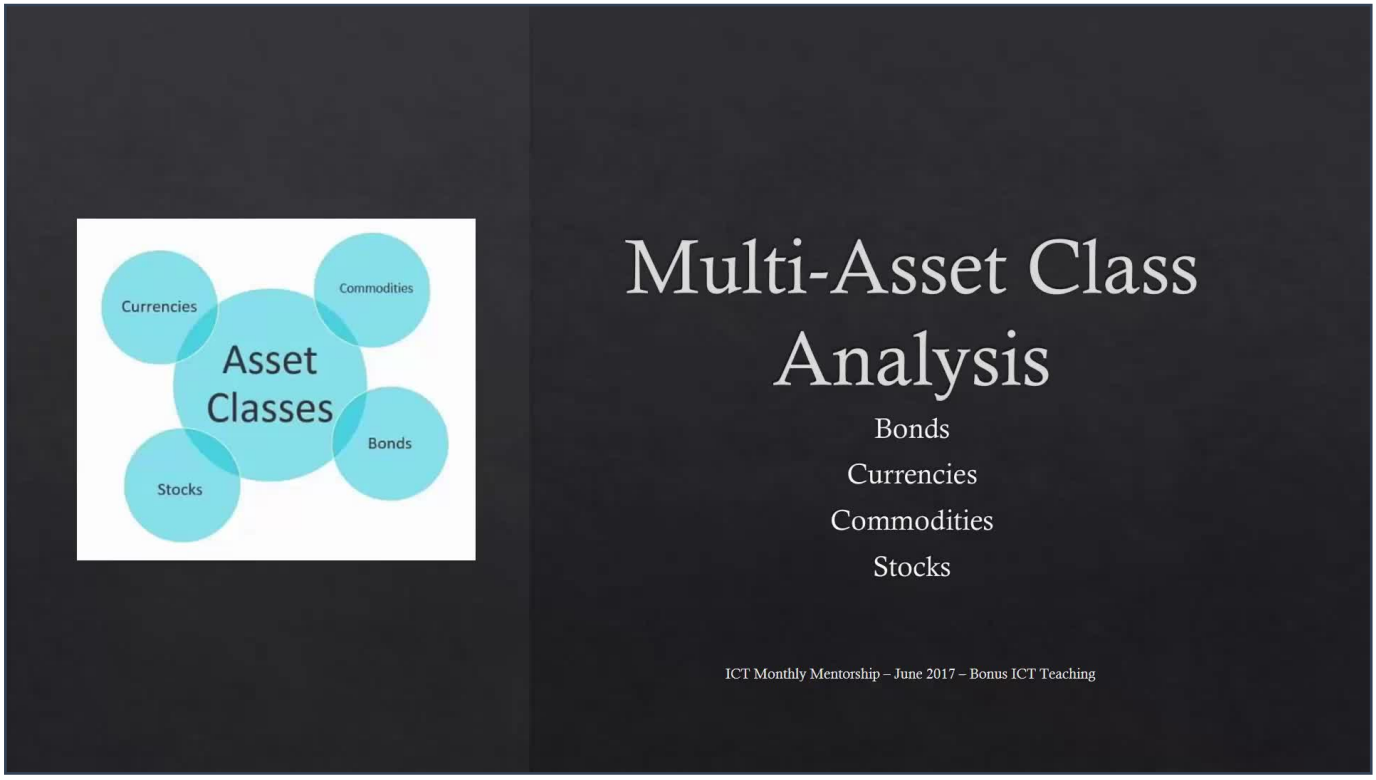
- This understanding relates to concepts like 'risk on' and 'risk off' market shifts.



Many participants were hoping for immediate trade signals, wanting to 'see this,' 'need to see this,' or 'take trades.' However, the mentorship was never intended to be a trade signal service.

- The point of the lessons was not to highlight phenomena specific to individual asset classes.

- Instead, it emphasized how asset classes work in harmony with one another, but also how they sometimes decouple.



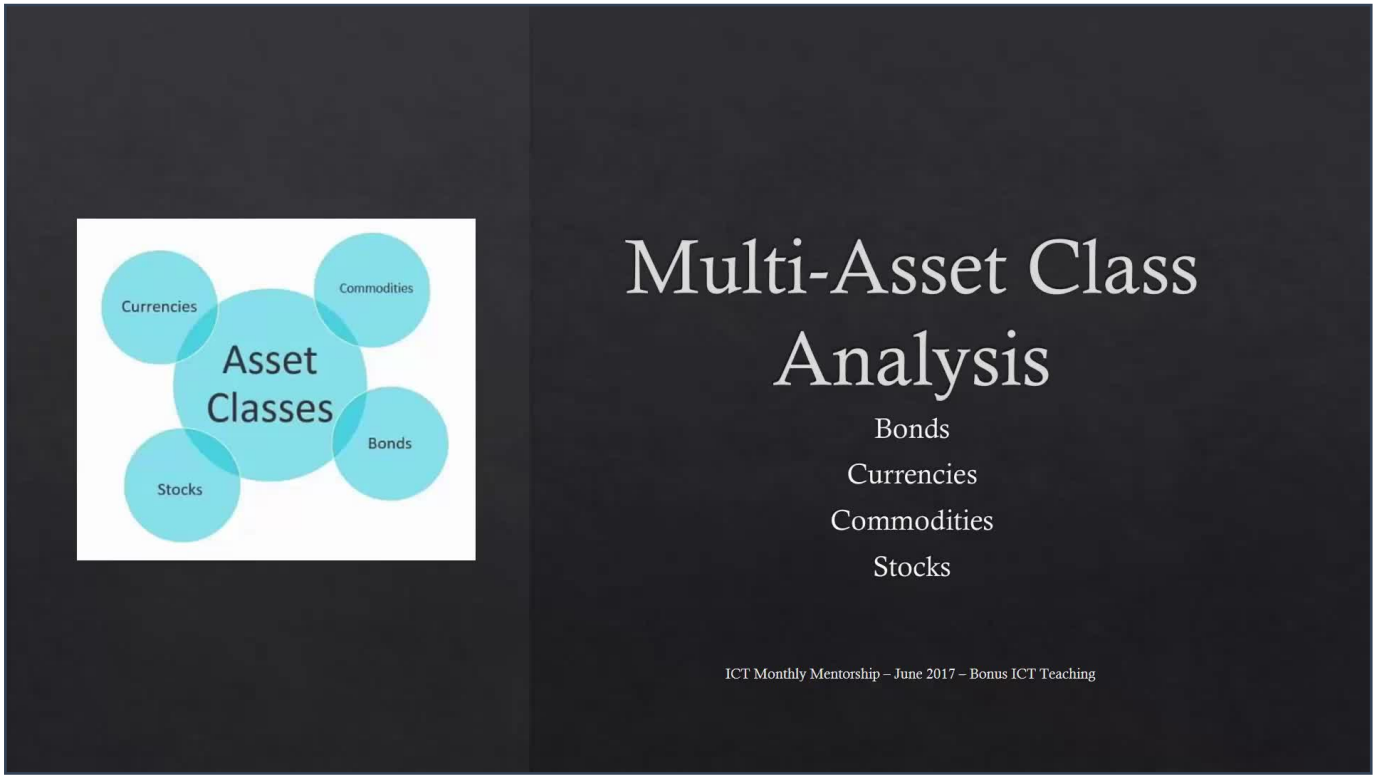
Understanding decoupling is critical:

- If the bond market is going higher, it indicates a 'risk-off' environment, where there is less interest in risk and the market is buying bonds.

- When the bond market is going lower, it signifies a 'risk-on' scenario.

- Risk-on scenarios typically involve the buying of stocks and foreign currencies.

- These back-and-forth ebb and flow phenomena reverberate through all four asset classes.

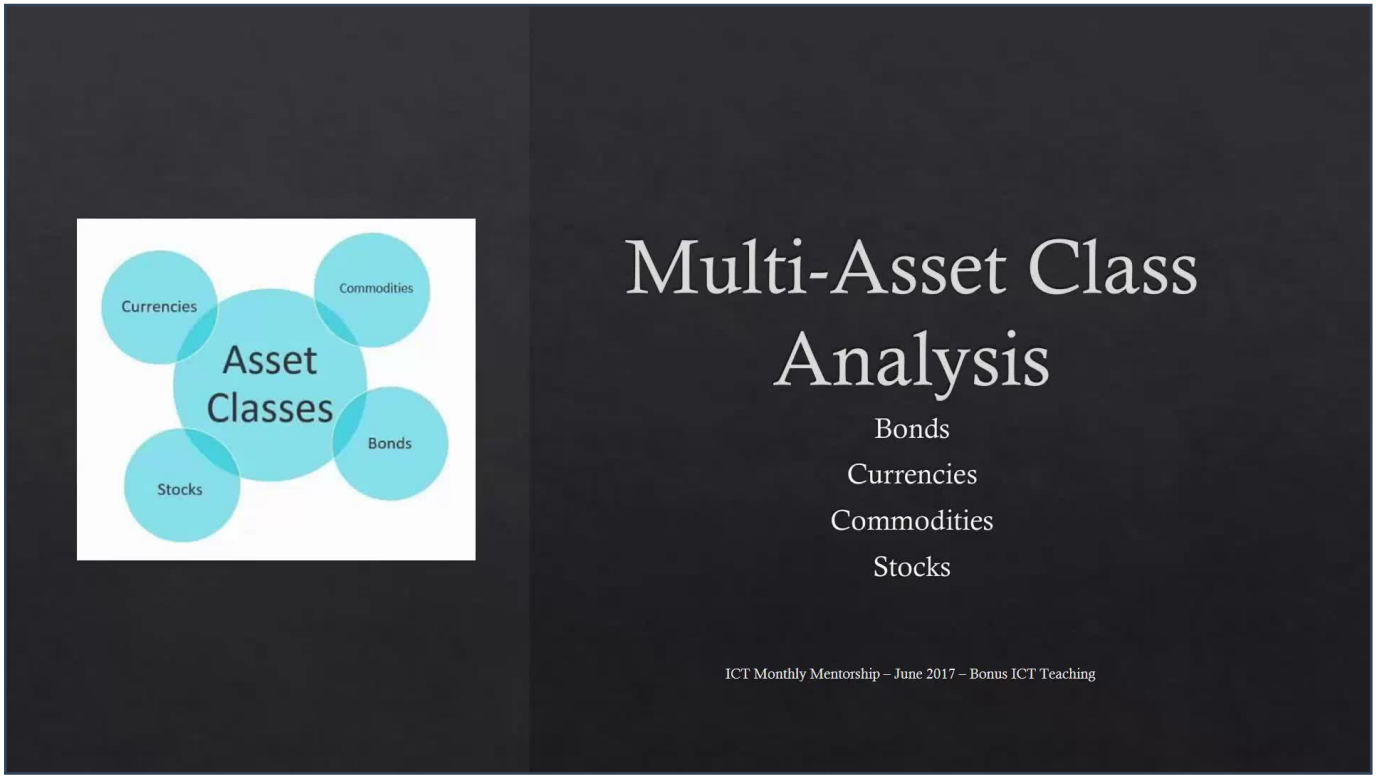


Discounting this multi-asset analysis, thinking it can be revisited later, or believing one is not interested in commodities, S&P 500, or stocks, is a mistake.

- Even if you only trade Forex, understanding the bond market, commodities, and stocks is essential because it 'matters' and 'has a place'.

- Avoiding a holistic view to be a 'one-trick pony' and only follow one thing while ignoring everything else is detrimental.

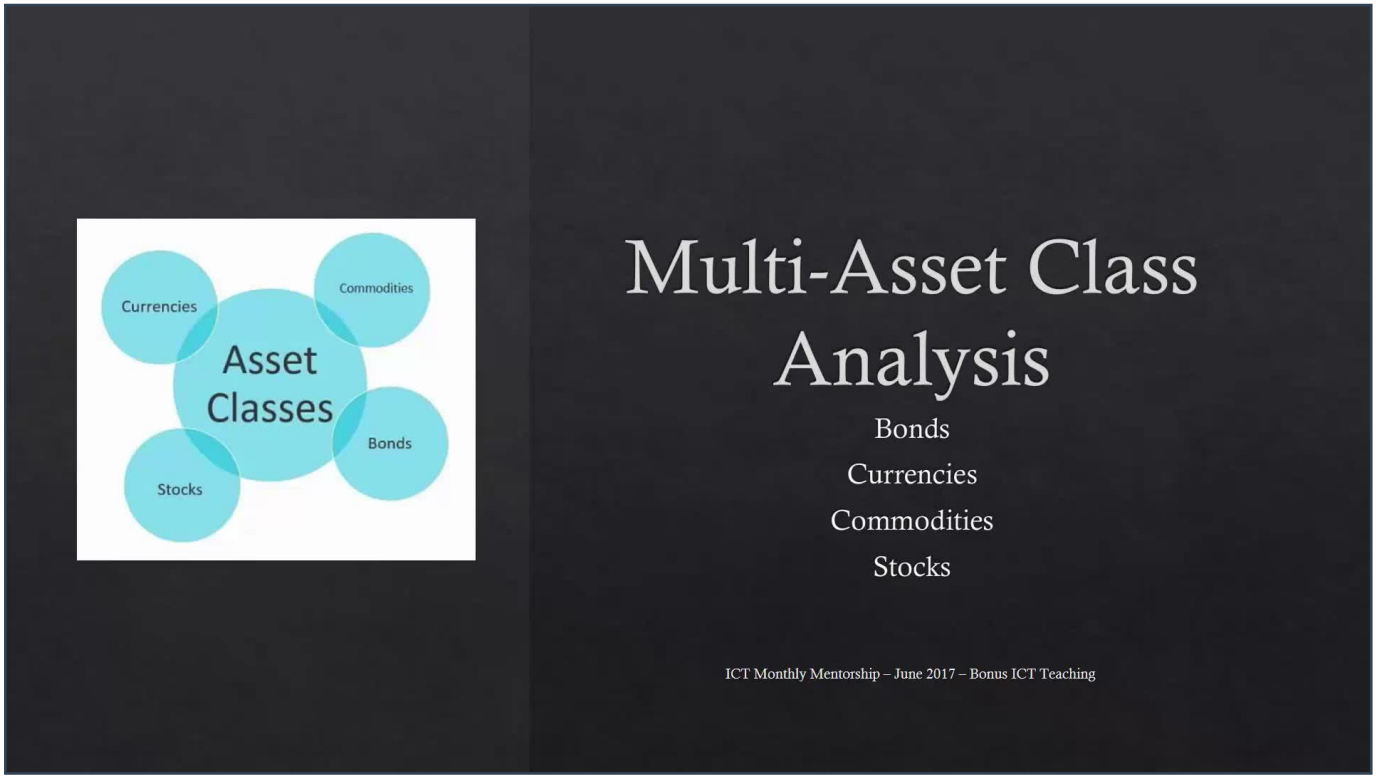
- To be a specialist, you still need to understand what the general market is most likely to do.



The importance of multi-asset analysis is evident when markets work well together, and all asset classes perform as they should.

- In risk-on environments, everything should rally, and interest rates should decline.

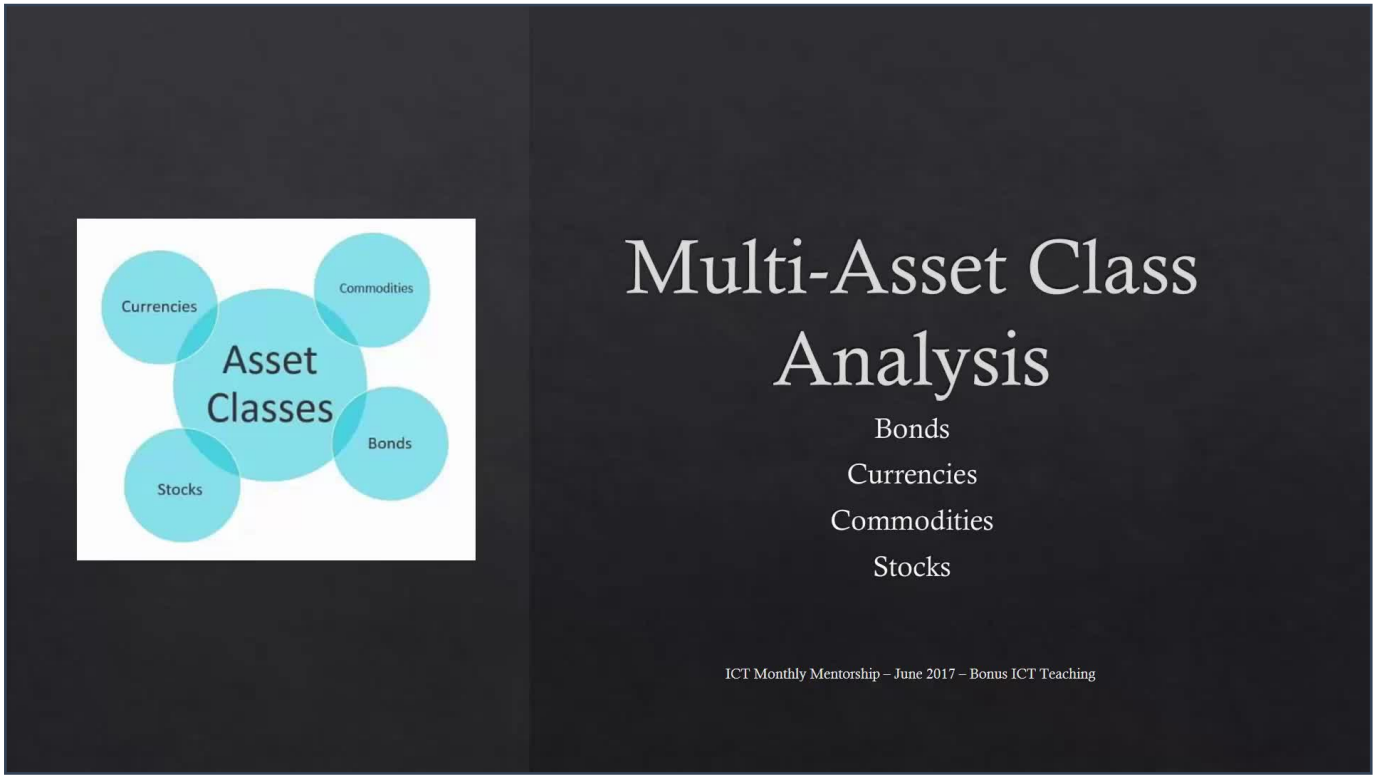
- If this 'beautiful dovetail' is absent across all four asset classes, you will find it very difficult to locate opportunities for explosive moves with significant magnitude, which do not last very long unless those conditions are present.



There have been periods where it is very difficult to ascertain whether the market is risk-on or risk-off, with some asset classes behaving as expected while others do something entirely different.

- This inconsistency leads some traders to grow tiresome and leave, as they lack the wherewithal, conviction, and hard work required.

- To grasp what the general market is doing and find explosive, big directional, one-sided markets, you must examine all four asset classes.

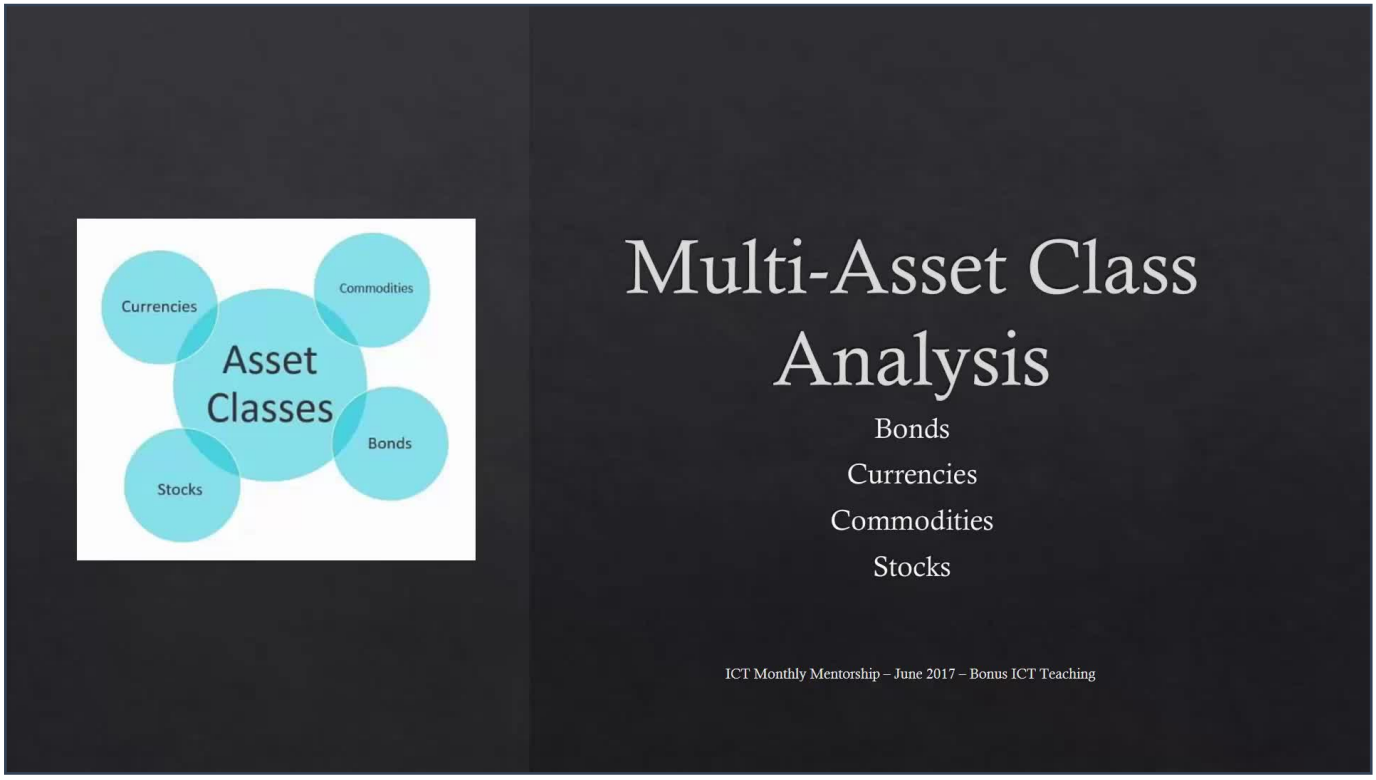


Explosive, big directional, one-sided markets arise from understanding the four asset classes.

- If you cannot interpret what these asset classes are doing individually and collectively – if you can't see the 'dance' between them – you will miss opportunities.

- You need to determine if they are moving in symmetry and working beautifully together, or if there is a 'chaotic mess' where markets move indiscriminately.

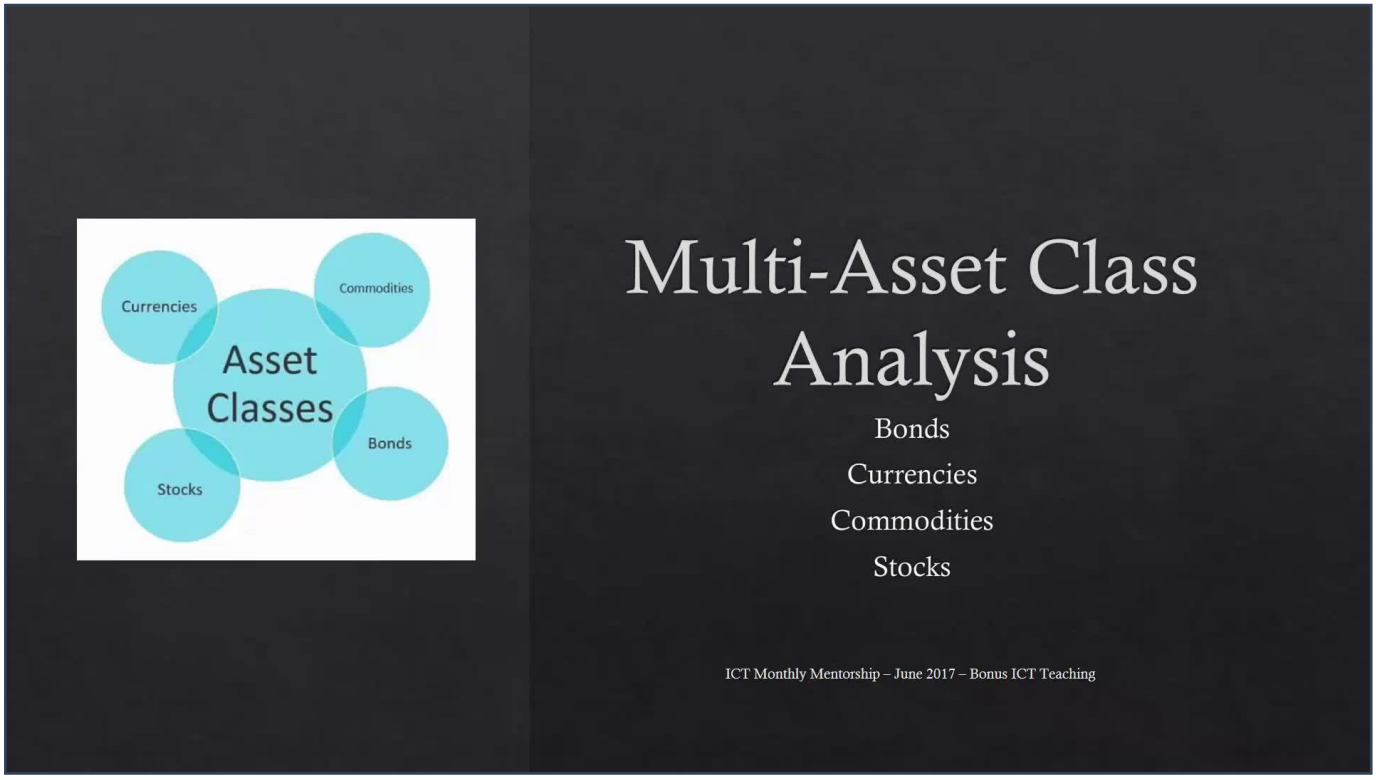
- This decoupling often occurs due to significant uncertainty.



When it's easy to make money, all four asset classes work in harmony and behave as they should across the board:

- In a risk-on environment: The Dollar Index goes higher, commodities go lower, stocks go higher, and foreign currencies rally.

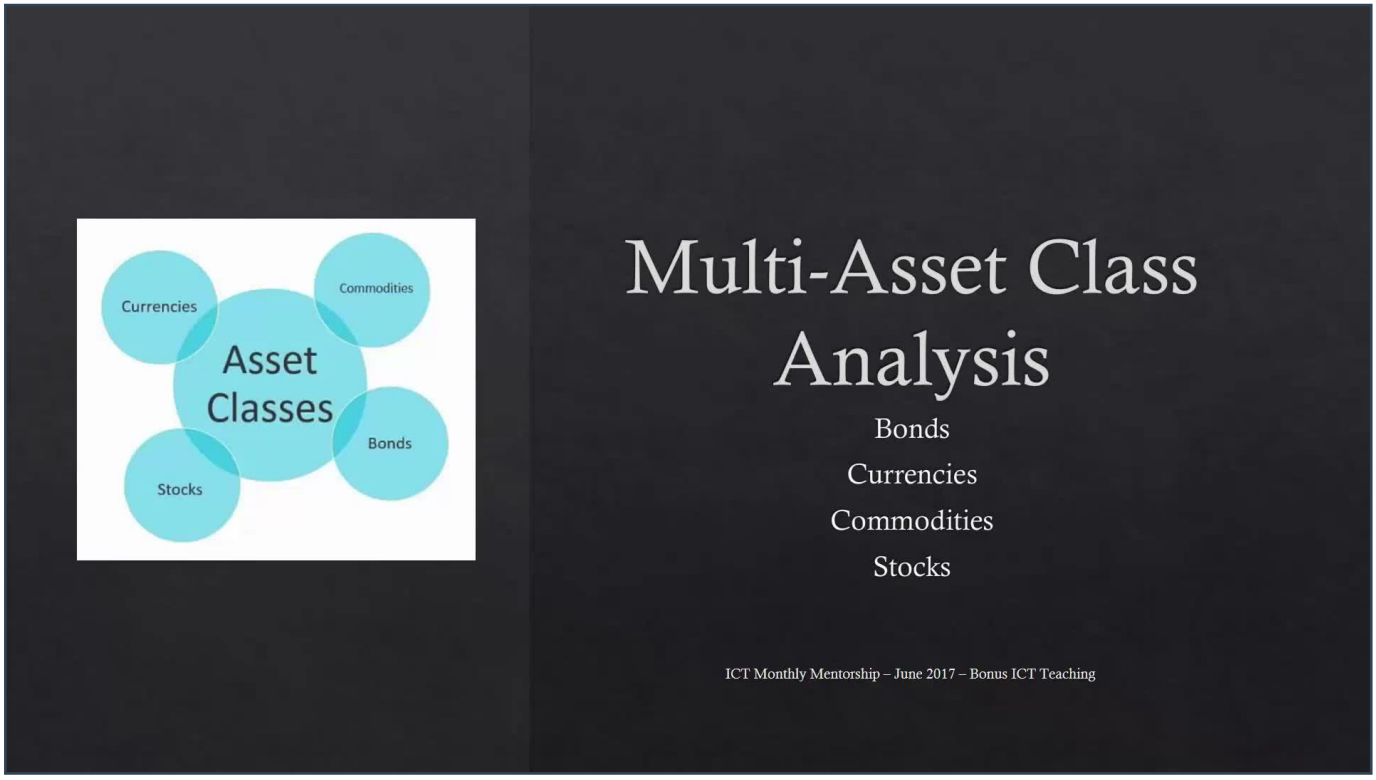
- In a risk-off environment: Stocks fall, foreign currencies decline, and the Dollar rallies.



The marketplace mechanism is highly efficient but hard to decipher because it requires a lot of work.

- Traders often desire to focus only on a single instrument, like the Euro-Dollar, ignoring bond markets and other asset classes.

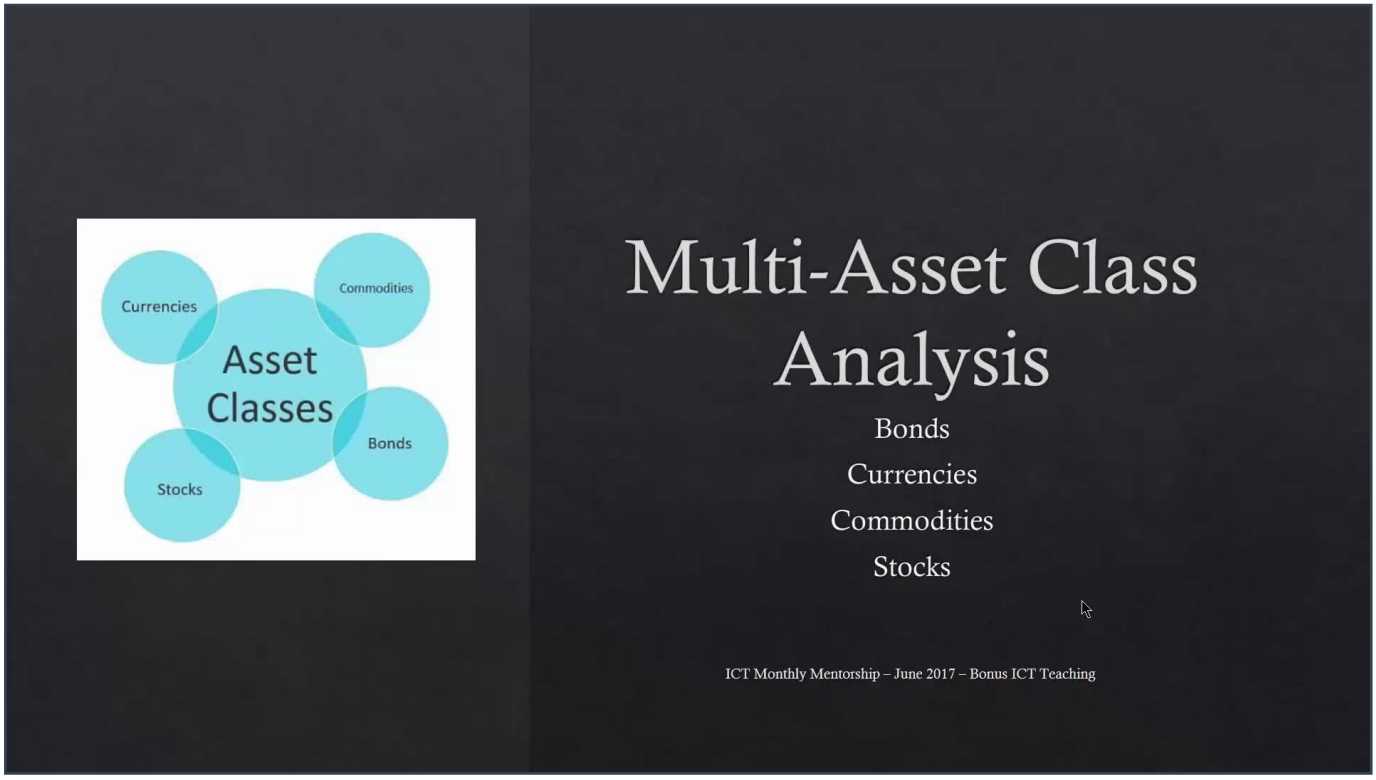
- While you can make money doing this, you will lack the understanding of when large moves will take place and how long to hold trades, as these insights come from broader market conditions.



Some individuals attempt to skip the hard work, wanting to 'skip to the head of the line' without 'rolling their sleeves up.' However, this work is necessary.

- If you fail to do this, during periods of drawdown or when the market isn't cooperative, you will 'lose your mind' and allow psychological factors to impact your trading ability.

- This absence of understanding the general market as a whole impairs decision-making, including when to hold or let go of trades.



Many emails were received from students asking to skip this month's content, believing commodity or bond information was useless because they didn't intend to trade those markets.

- The consistent response was that this information is important, even if you never trade commodities or bonds directly.

- This resistance persisted even after reviewing the bond market content.

THE CONSEQUENCE OF AVOIDING MULTI-ASSET ANALYSIS

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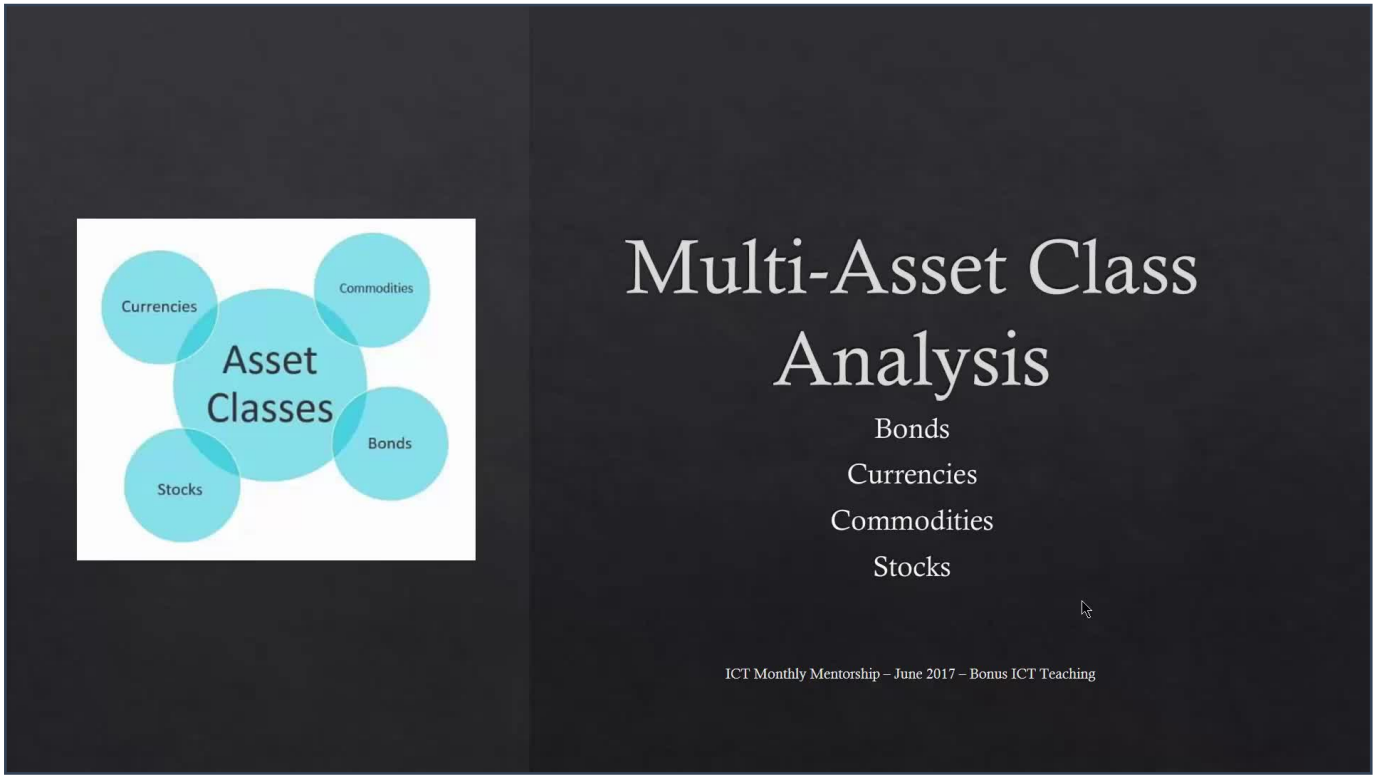
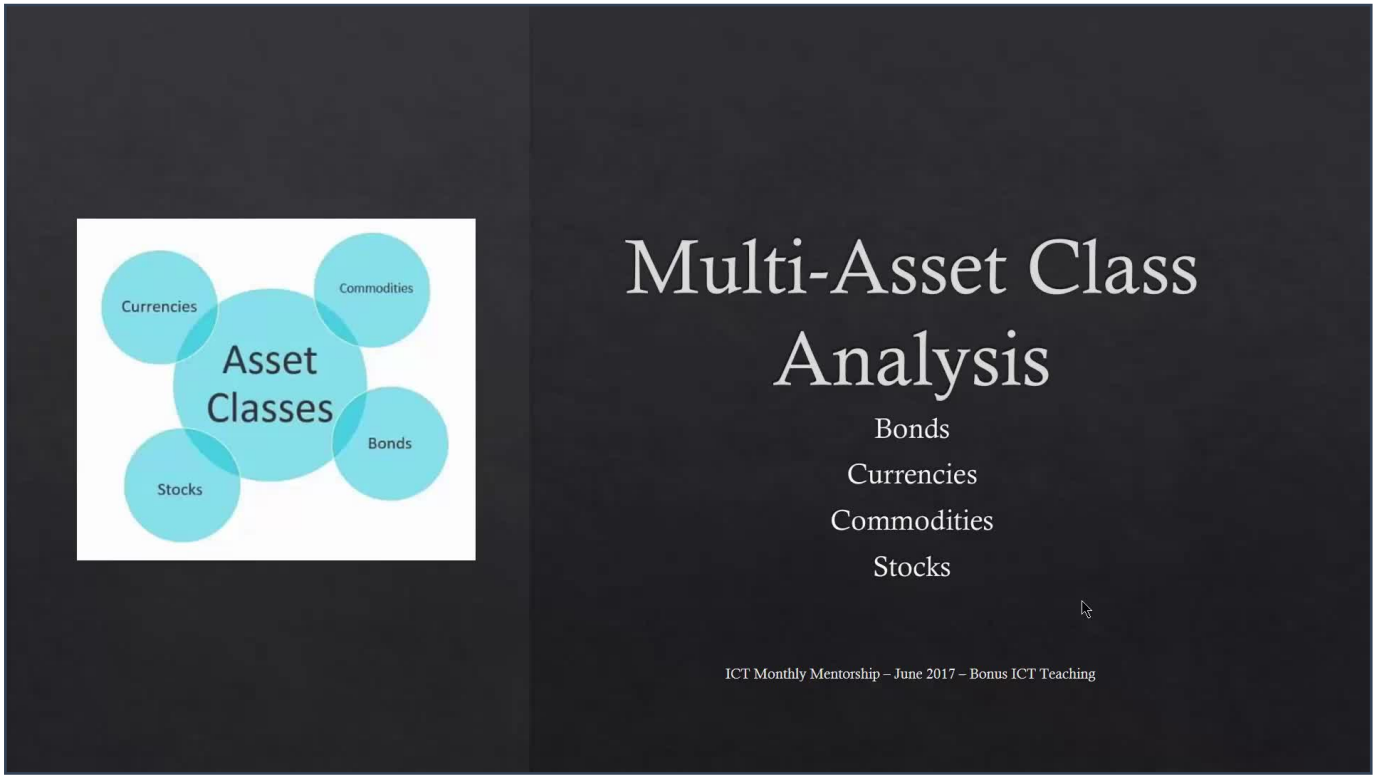


If you struggle with or refuse to examine other asset classes due to perceived workload:

- You will struggle in your trading.

- You might experience 'hit and miss' success and make some money, but you will always feel that 'something doesn't quite click.'

- This missing piece is the understanding of what the market is doing as a whole, especially during periods of decoupling and erratic behavior where assets are not working in harmony.

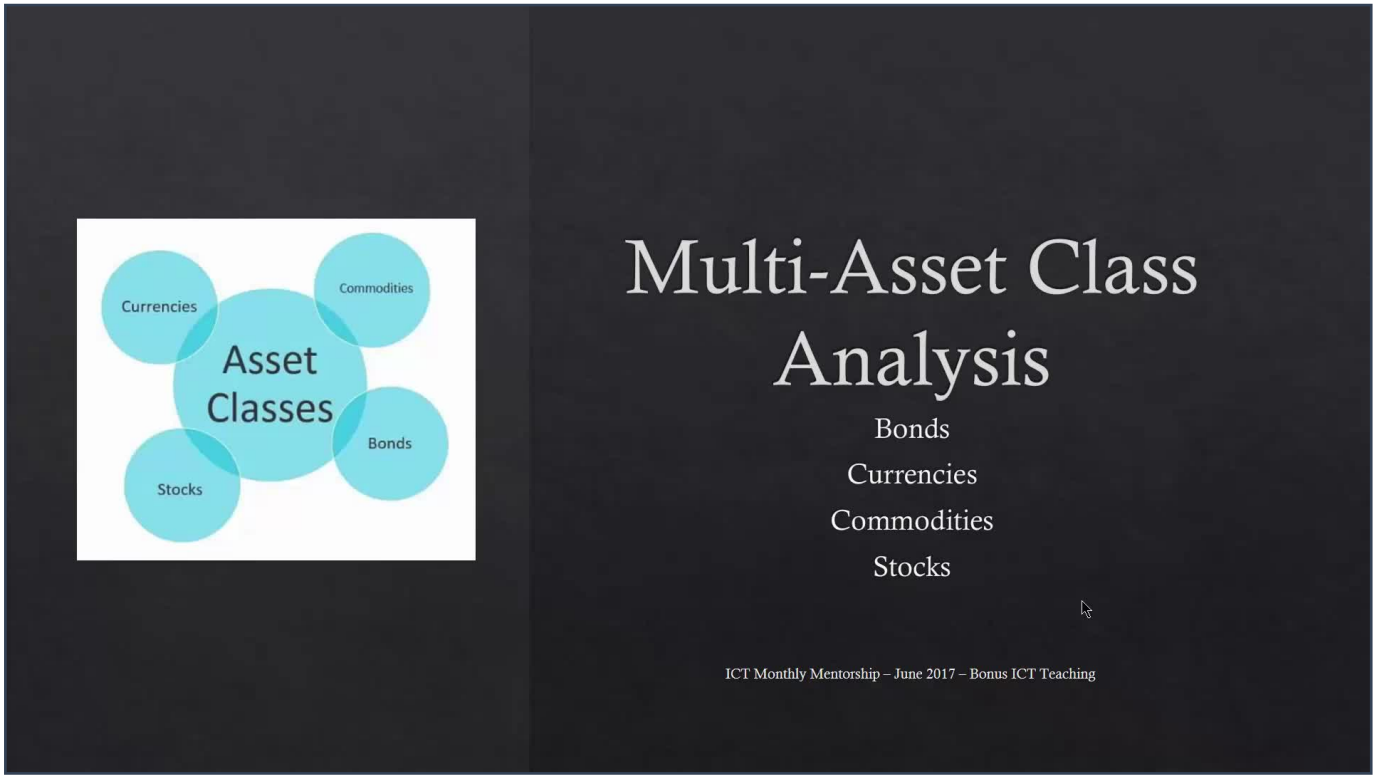


When markets exhibit erratic behavior and assets are not in harmony, it signals that smart money is unwilling to make large directional contributions or is waiting on something.

- This uncertainty is influenced by various global events, such as war, Brexit, or political changes.

- Such conditions make trading difficult, and it's understandable for new traders to initially feel inclined to ignore this broader analysis.

- However, revisiting these seemingly irrelevant topics has historically led to the greatest growth spurts in ICT's own trading understanding.

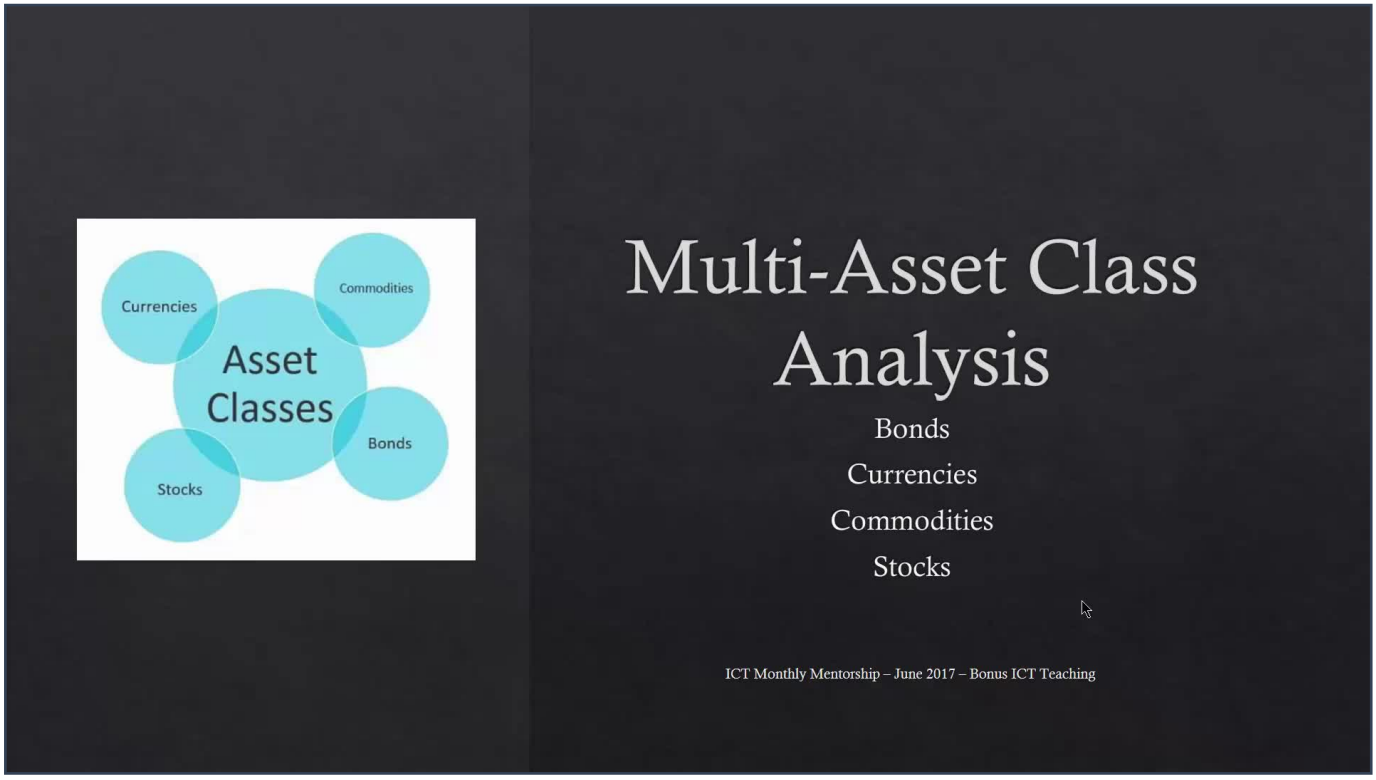


ICT admits that as a new trader, he felt the impulse to ignore certain information, but later revisited those topics, leading to significant growth.

- The mentorship aims to provide insights into understanding market behavior.

- Periods of poor performance for ICT have been directly linked to chaotic multi-asset class behavior where assets are 'doing whatever they want to do.'

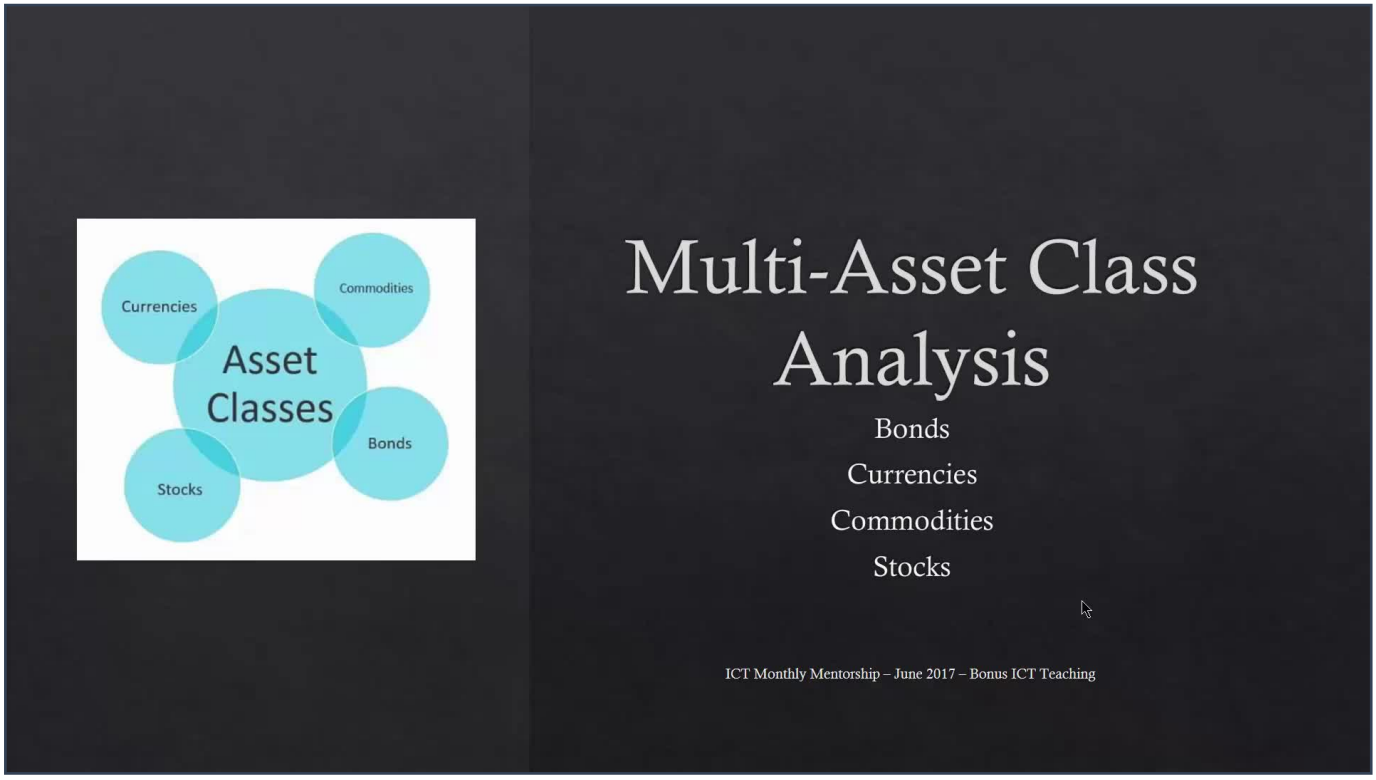
- Conversely, when ICT can clearly perceive the market's direction, it correlates with periods of strong performance.



The mentorship involves substantial effort from ICT, including creating lessons, recordings, editing, and responding to numerous emails, calls, and texts.

- Despite this, ICT cannot force students to embrace necessary teachings.

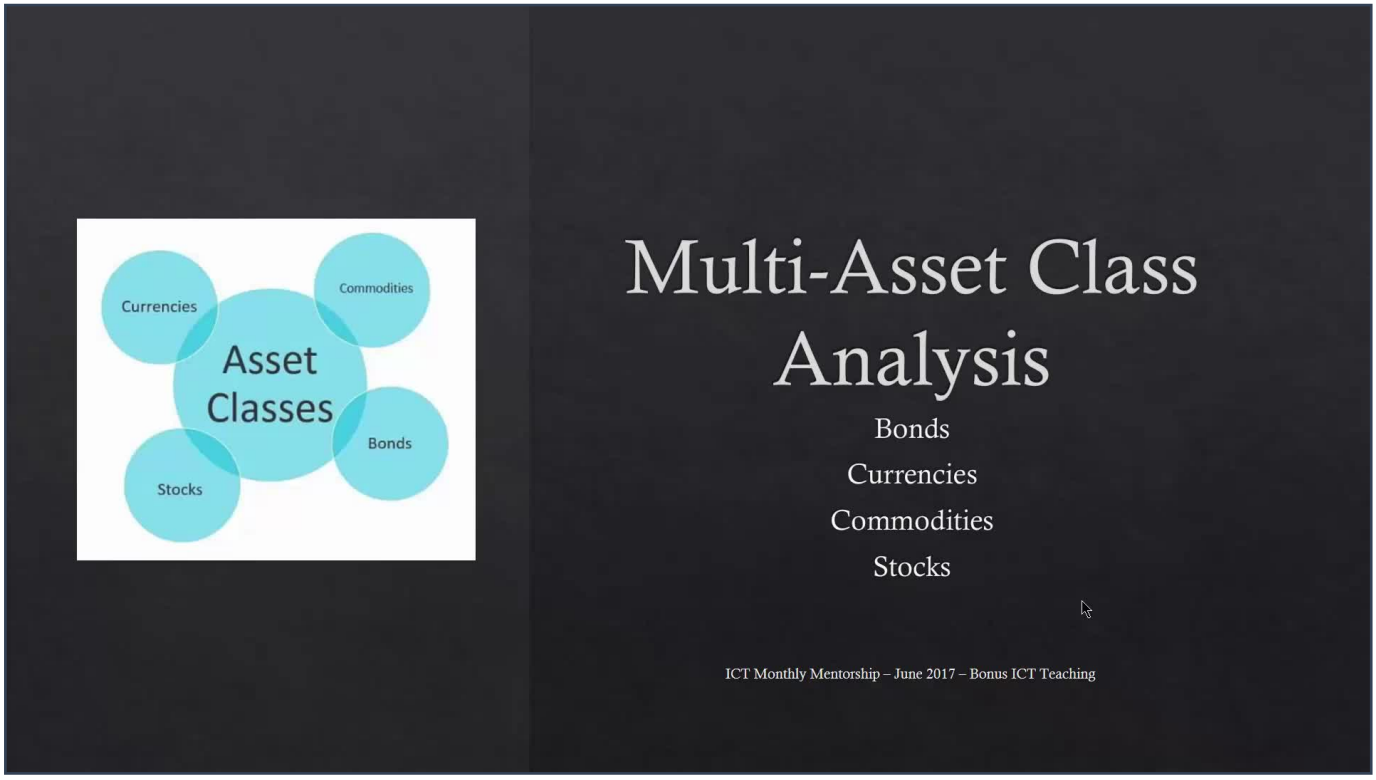
- He acknowledges that some may choose to ignore these lessons, but emphasizes that this month's content would not have been taught if it wasn't wholeheartedly believed to be beneficial.



Even if you never trade bonds, stocks, or manage a self-directed IRA, it is important to understand what these asset classes are doing as a whole.

- You don't need to stare at them all day; periodic checks to get feedback are sufficient.

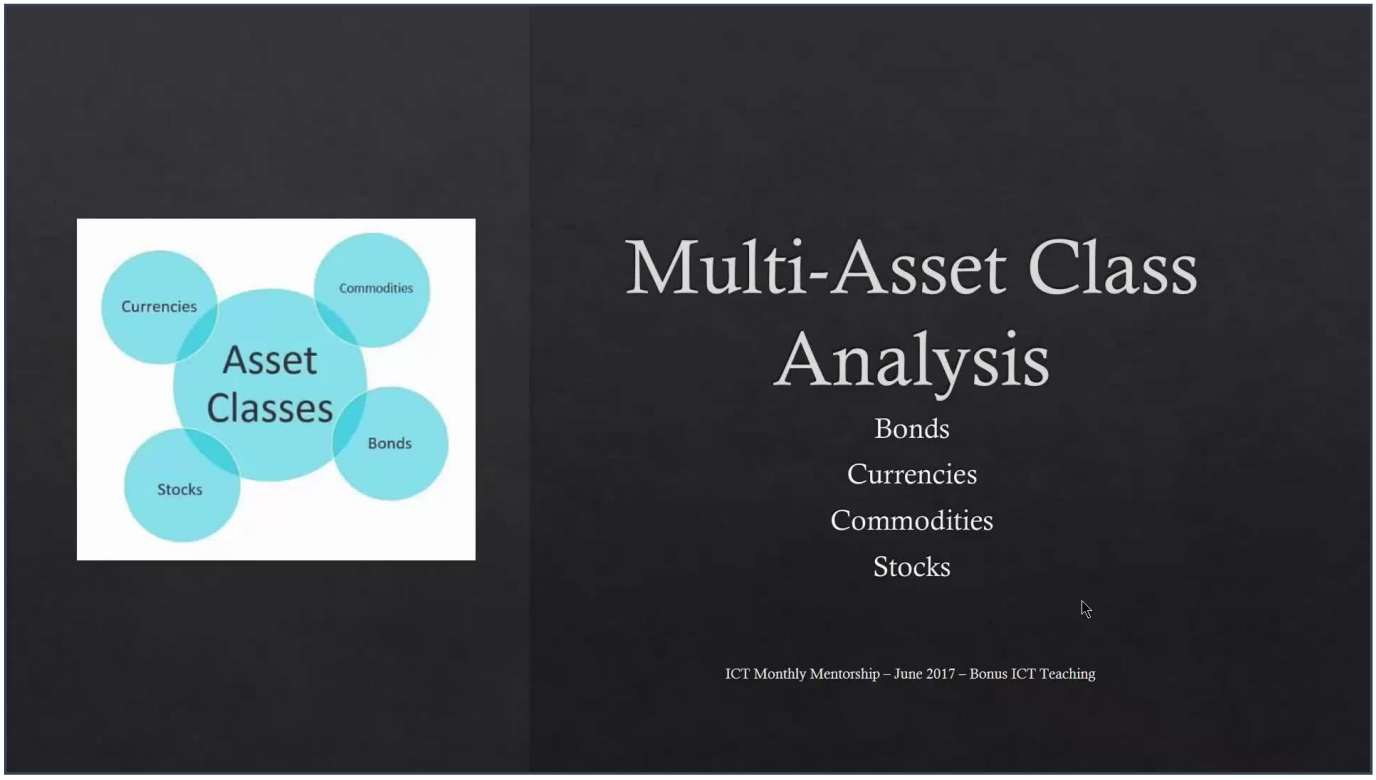
- They should be moving in concert with one another.



An ebb and flow between asset classes is necessary for markets to be highly efficient.

- When markets are efficient, they create big, large, exaggerated, and highly profitable market moves.

- These significant moves are often easier to anticipate and understand.



ICT shares a personal example of focusing on the S&P instead of FX for a week, then analyzing all markets on Saturday, highlighting the practical application of multi-asset analysis.

- He clarifies the immense workload involved in creating mentorship content, such as 200 slides for this month, emphasizing that it takes a lot of effort, not just five minutes, to design and make it user-friendly.

NO-TRADE DAY DECISION BASED ON MULTI-ASSET ANALYSIS

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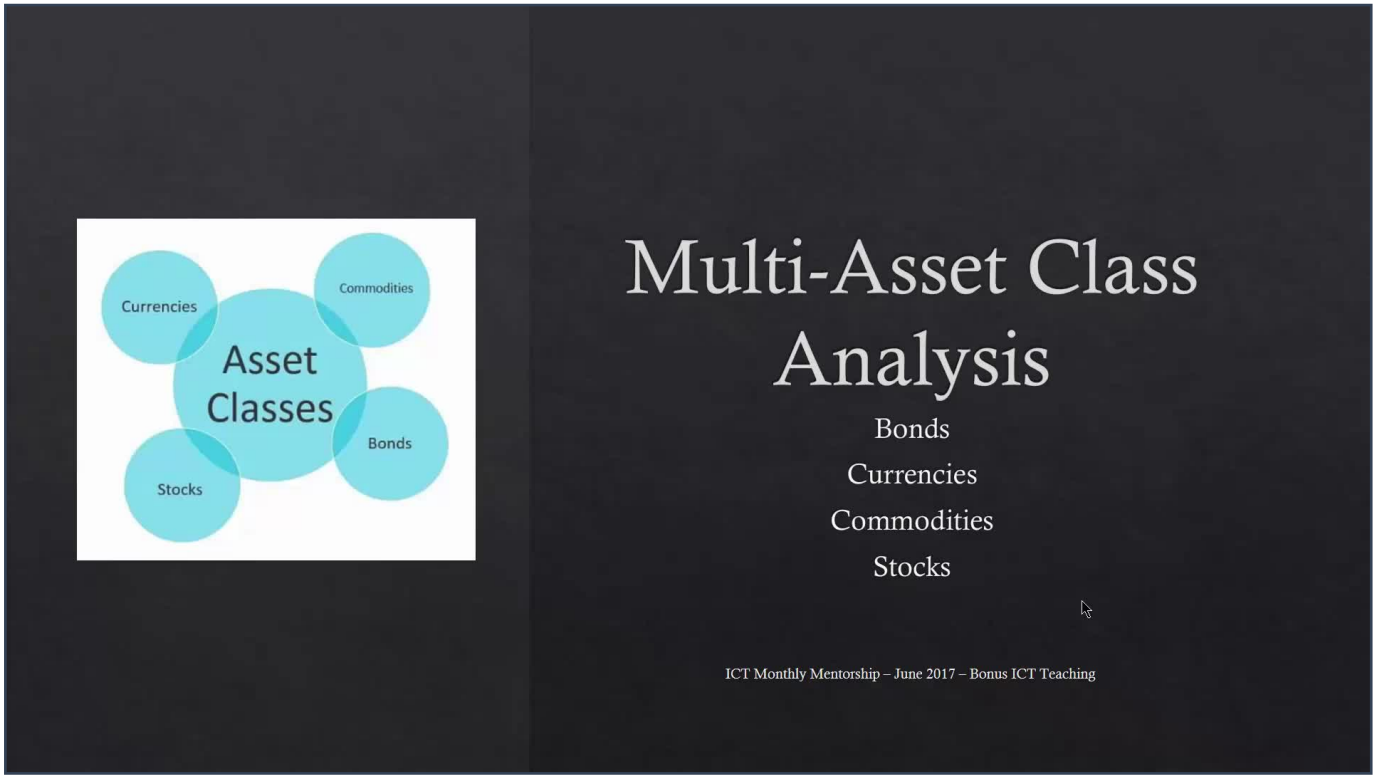

ICT addresses a member's email regarding a U.S. Dollar CAD trade.

- Despite expectations, he did not see a trade opportunity that morning after analyzing all four asset classes.

- It was a 'z-day' consolidation ahead of a widely followed U.S. holiday, a time when many professionals move to the sidelines.

TRADE DECISION JUSTIFICATION - MEETING OBJECTIVES AND MULTI-ASSET CONFIRMATION

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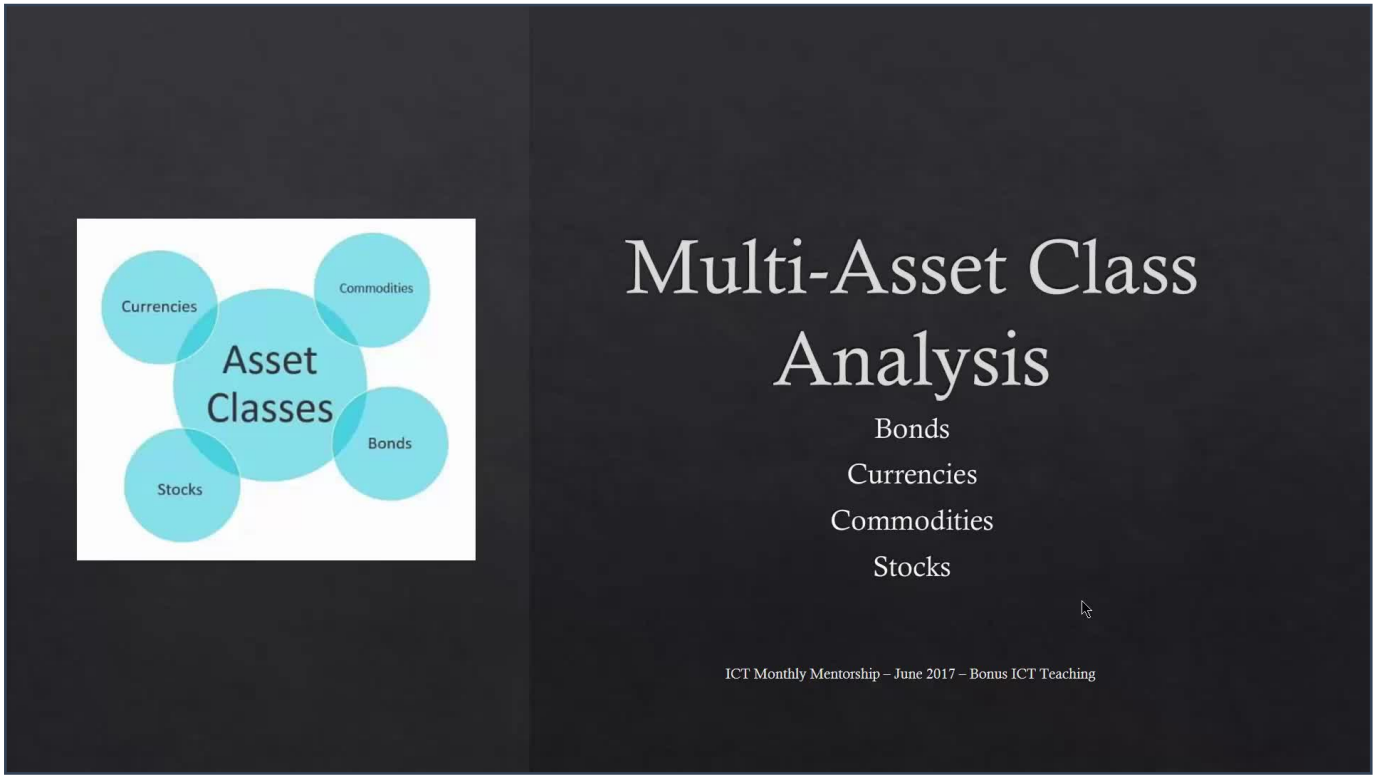
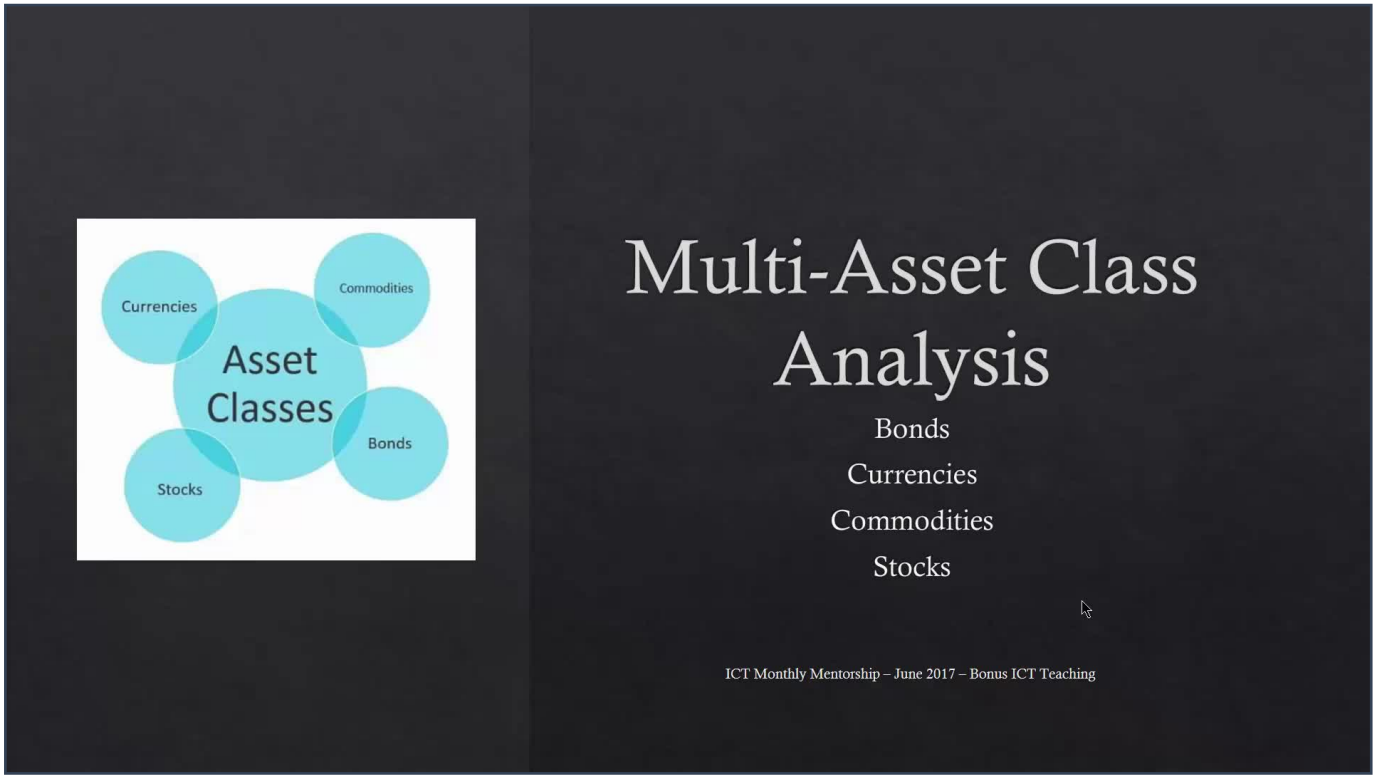


On Friday, June 30th, 2017, there was no clear indication for market direction based on the four asset classes.

- The market had already met its weekly objective by trading down to and slightly below the predicted low.

- Hitting a target does not guarantee a reversal.

- ICT did not believe the market could go lower, a decision informed by looking at all four asset classes and individual currency and bond market targets, as all these elements work together.

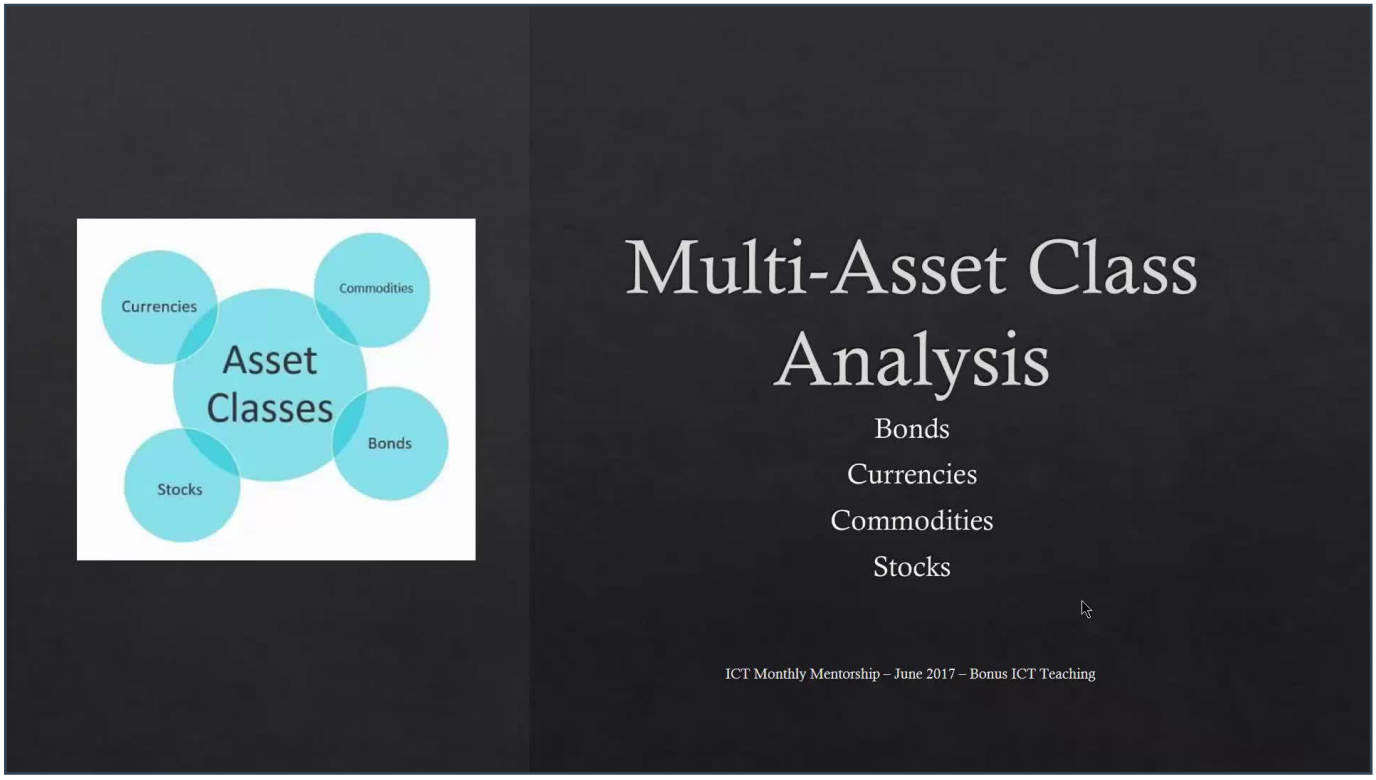


Some students do not trust ICT's experience, often thinking they 'know everything' after reviewing a slide, and expect market analysis to be 'black or white.'

- However, trading is not always black and white.

- There are times when the market appears obvious and easy, which can be deceptive, as traders may expect this clarity constantly.

- The difficult part of trading is knowing when to capitalize on clear conditions and when to 'dial it back' when conditions are unclear.



To determine market conditions and when to 'dial it back,' you must rate the market in terms of 'risk on' or 'risk off.'

- This cannot be adequately achieved by looking at only one instrument or pair.

- You must examine the 'whole universe of speculation': currencies, commodities, bonds, and stocks.

- This entire month's content was designed to emphasize the importance of knowing what all these asset classes should be doing and what to look for, rather than focusing on specific trades per se.

KEY OBSERVATIONS ACROSS ASSET CLASSES

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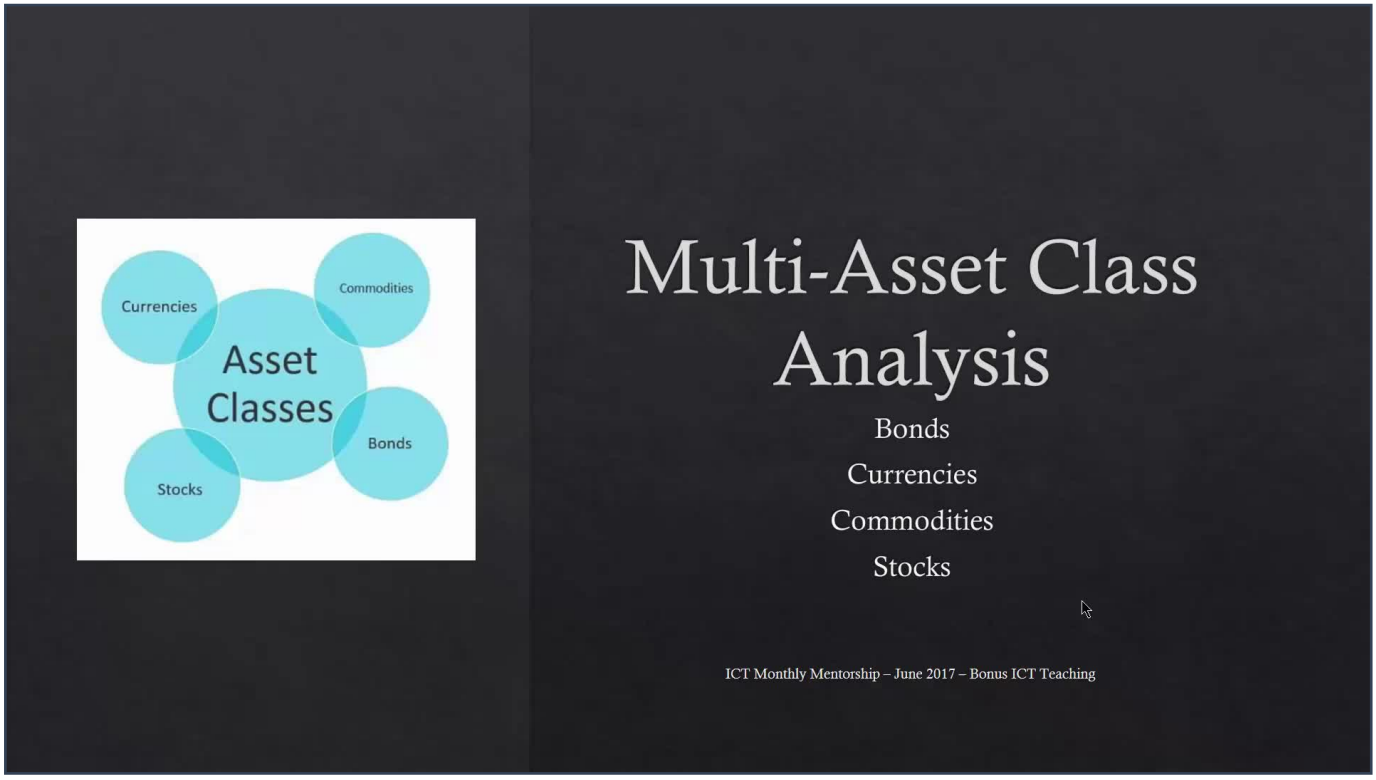

When analyzing the marketplace, important considerations include:

- Are commodities generally going higher or lower?

- Are interest rates going up or down, and how does that affect the dollar?

- Is the dollar going up or down?

- Are equities rallying easily or struggling and consolidating?

All these factors provide crucial feedback within the grand scheme of things.

DIVERSE STUDENT BACKGROUNDS AND PRECONCEIVED NOTIONS

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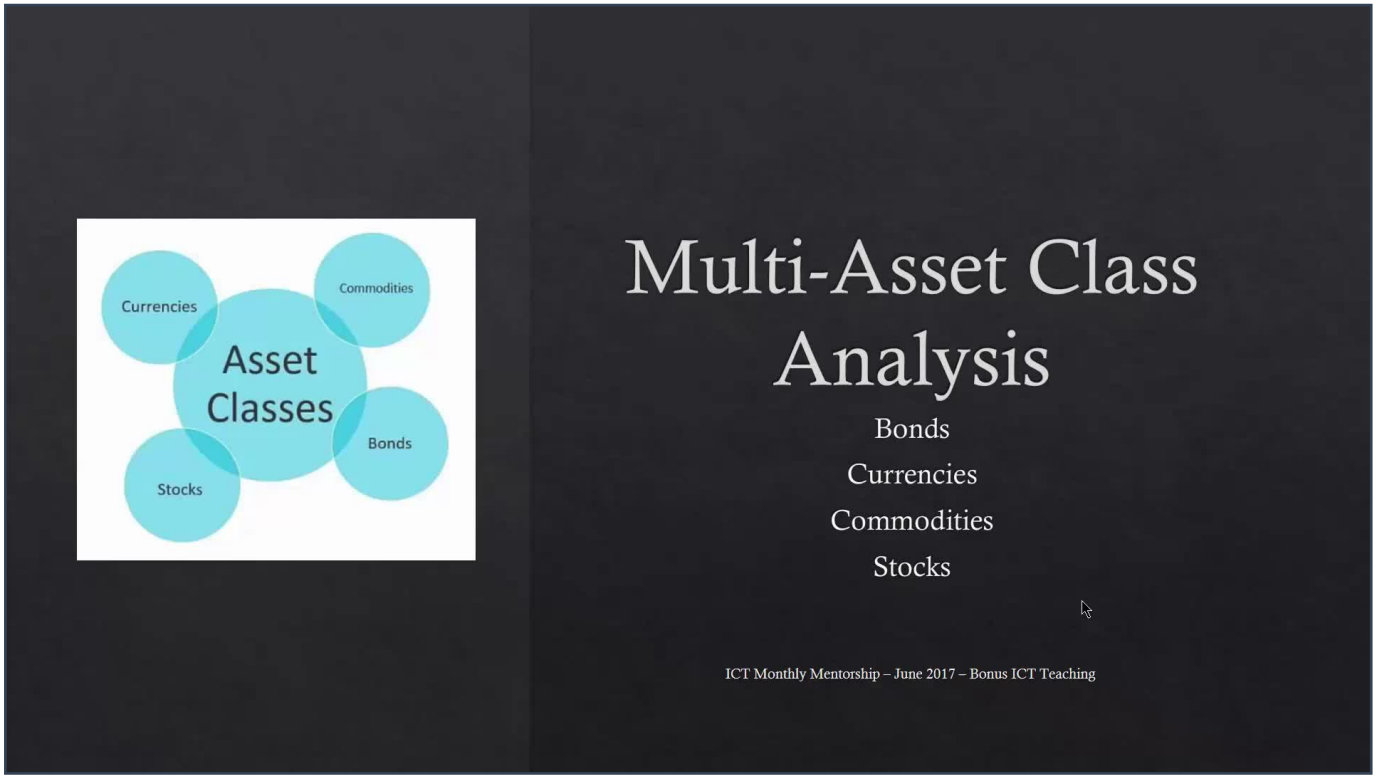
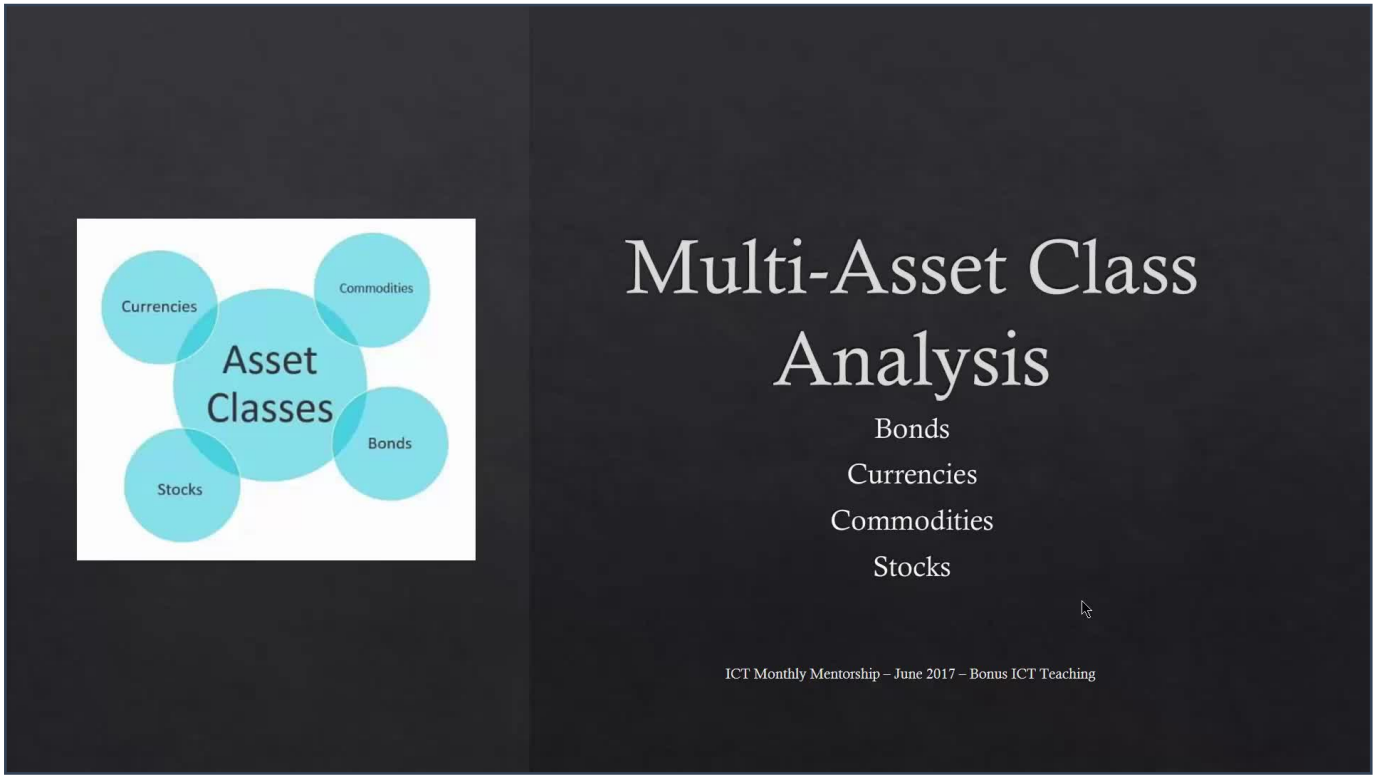


Students come from varied backgrounds:

- Some are entirely new to technical analysis and find the amount of information overwhelming.

- Others are experienced traders who recognize difficult market periods.

- Some who have previously traded, perhaps with luck, enter the mentorship with preconceived notions, leading them to discount this month's content as irrelevant to FX, which is far from the truth.

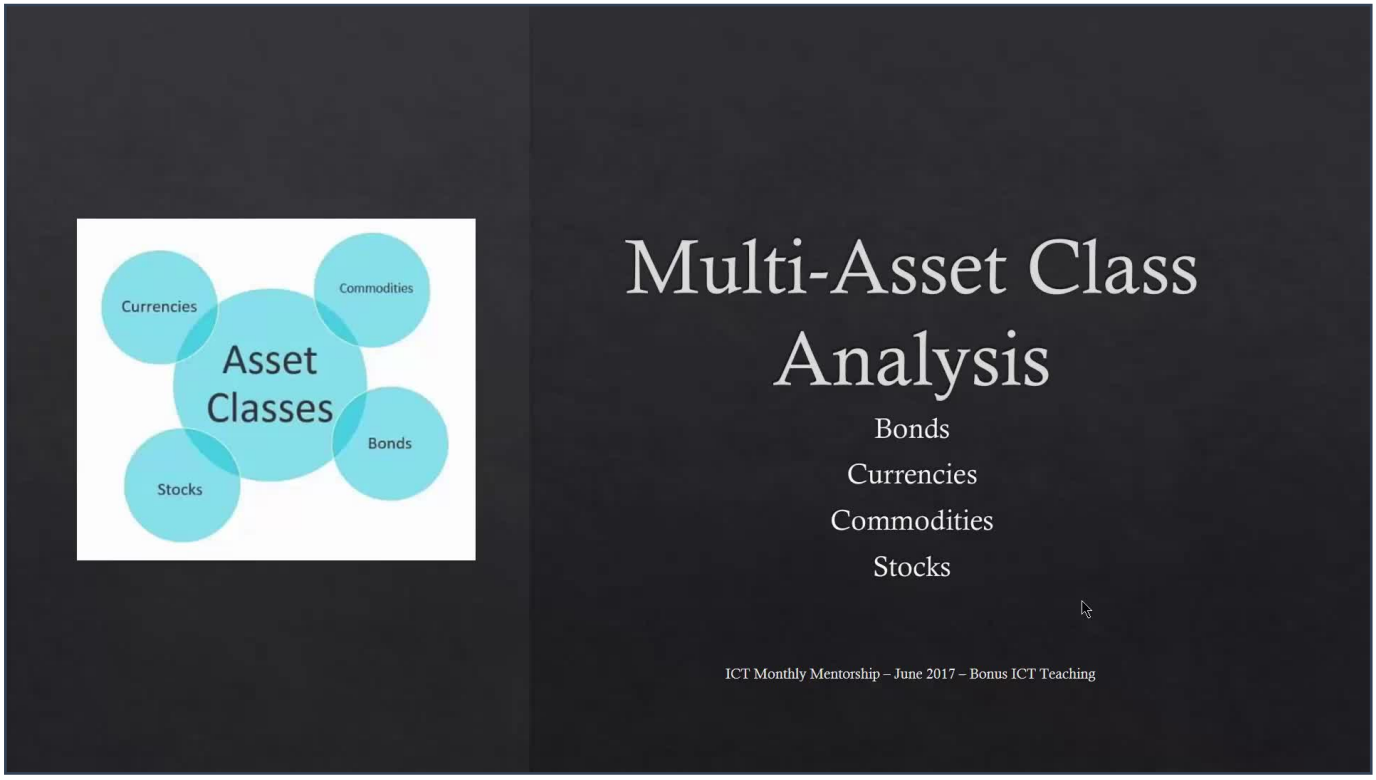


Intermarket analysis is absolutely crucial for understanding what will be taught in the next month.

- It helps focus on asset classes exhibiting leadership for upside or downside moves, based on previous teachings.

- You want to identify where large institutions are pouring money, as these are the areas that will generate explosive, fast moves with significant distance, magnitude, and velocity.

- This knowledge also helps in finding 'bread and butter' consistent setups, such as resistance liquidity runs, one-shot-one-kills, and low-risk, high-probability day or swing trades, as well as positions held for several months.

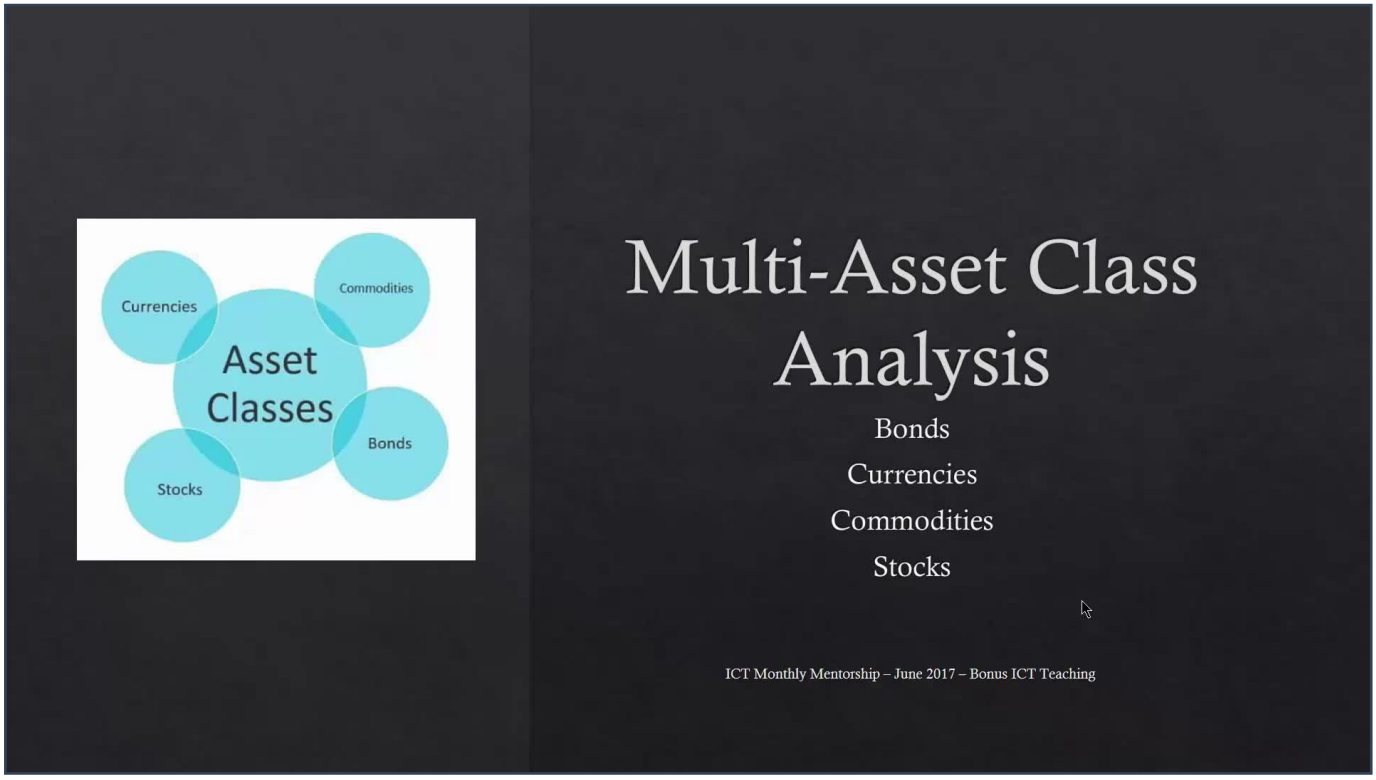


Understanding the interplay between asset classes is key:

- If only two out of four asset classes are behaving as they should, the market is not very symmetrical.

- However, if a third asset class starts aligning, it becomes 'very interesting,' signaling a potential shift out of chaotic uncertainty.

- This alignment suggests that smart money is beginning to commit capital more actively.

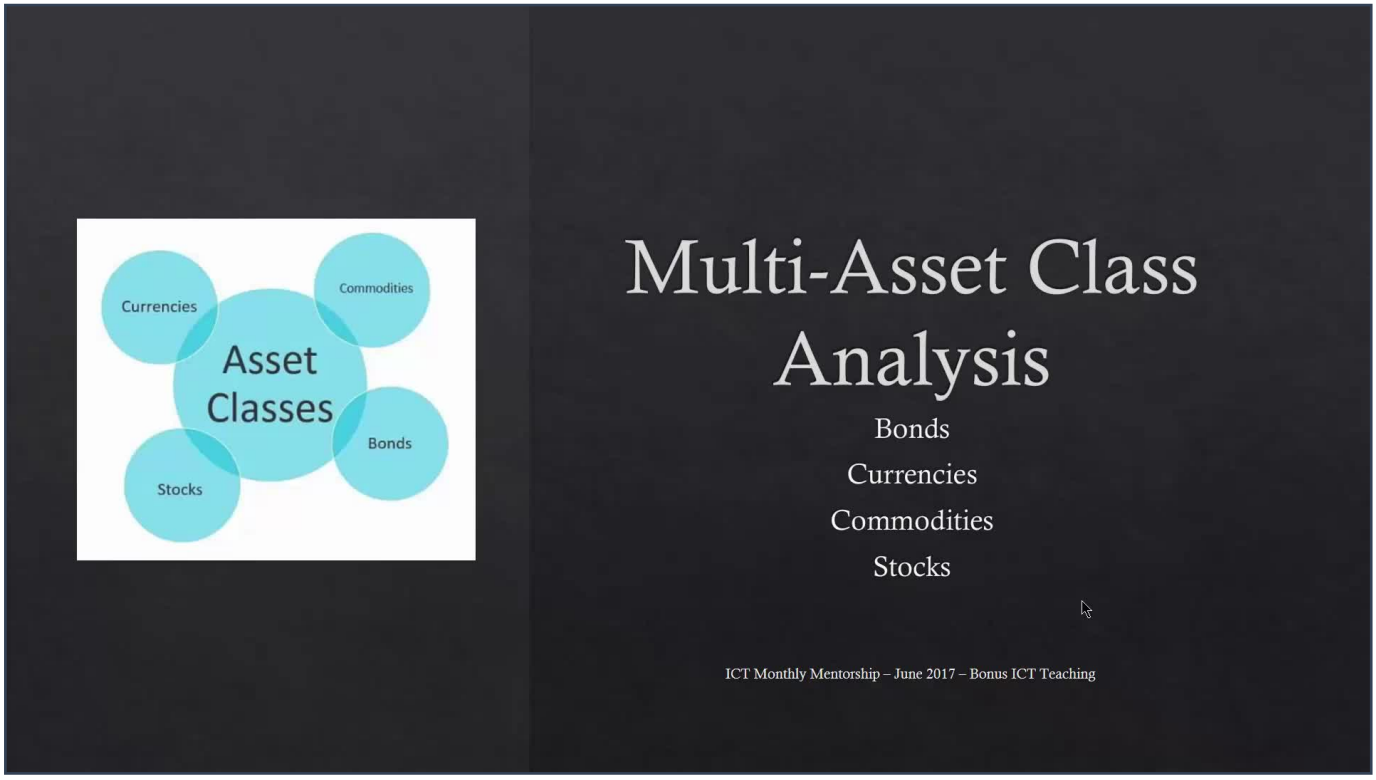


Retail traders are like 'fleas on the back' of 'big dogs' such as large corporations, banks, institutions, insurance companies, and pension funds – those with 'deep pockets.'

- ICT's approach is to 'hunt' for the clear tracks left by smart money.

- If smart money is not leaving clear tracks, it's essential to 'keep my hands in my pocket' and avoid trading.

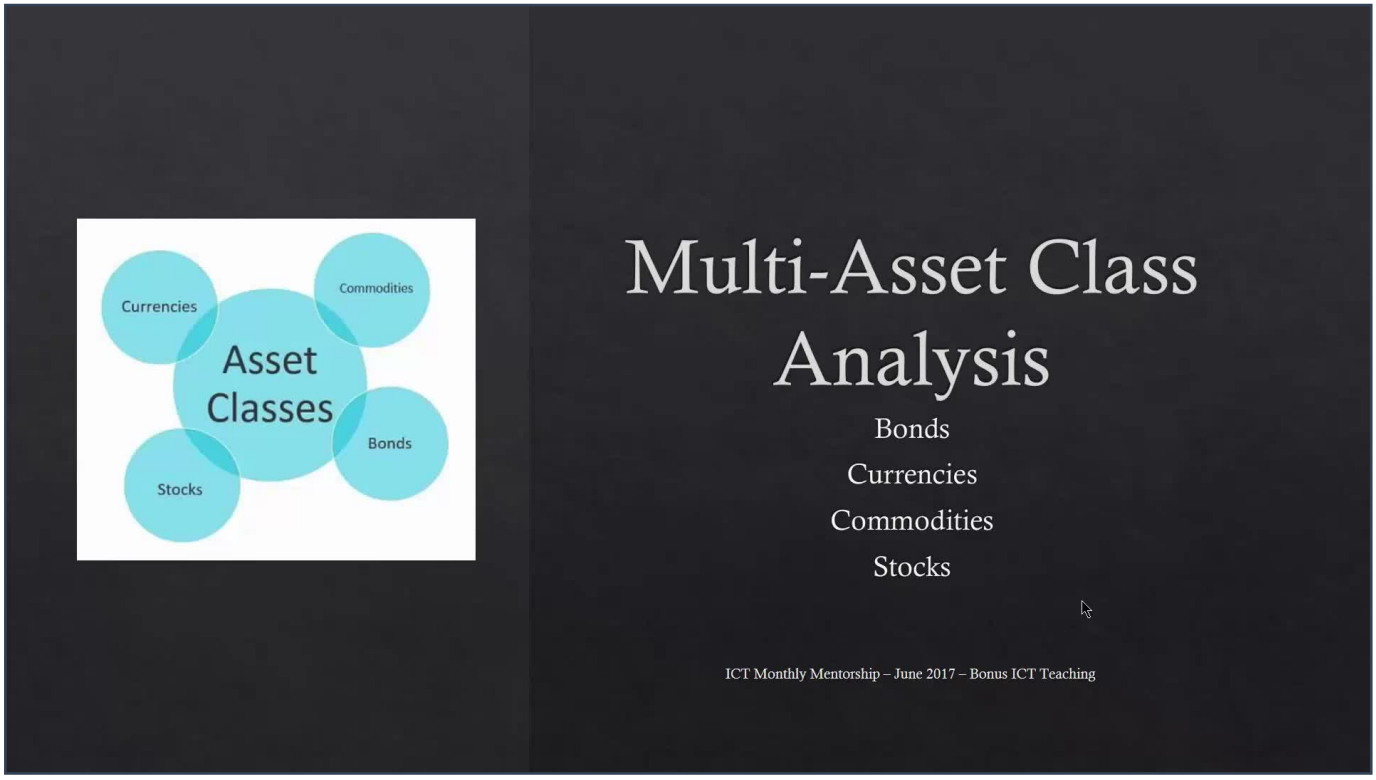
- This strategy, while not always appearing like 'rock star trading,' is crucial for staying in the game for the long term, as ICT has done for over 20 years.



If traders do not adopt this patient approach, they will not last in the market.

- ICT emphasizes that if he is teaching something, it is important; if not, it's not important, as his time is limited.

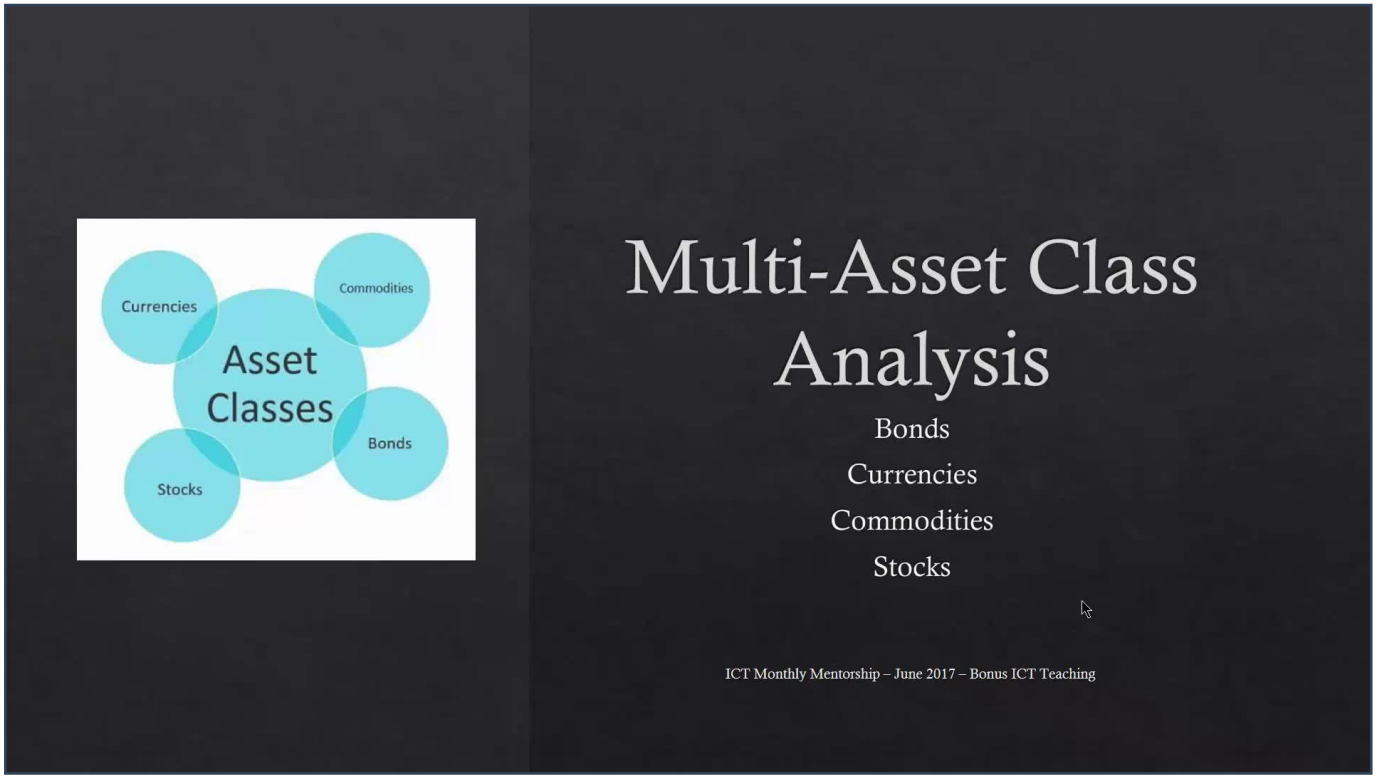
- He has promised to teach everything he knows, explaining 'what makes me tick as an analyst' – why he believes price will behave a certain way, target specific levels, go sideways, or why he avoids trading.



Decisions to avoid trading, like on a specific pre-holiday Friday, are based on experience and understanding how all asset classes behave under such conditions.

- ICT acknowledges the significant workload involved in creating mentorship content (videos, PDF slides), which requires careful time management.

- Similarly, traders must find time within their daily lives to periodically 'take a peek' at all four asset classes for a greater understanding of the overall market, despite any reluctance.



Trading without a comprehensive understanding of what the market should be doing as a whole is 'nonsense' and 'foolishness.'

- Even if you never trade stocks, commodities, or treasury bonds, it's vital to understand their actions and seasonal tendencies.

- If asset classes are not behaving seasonally, it indicates a decoupling, making it difficult for the markets to achieve strong, one-sided moves with significant magnitude.

- While individual trades might still occur, the really strong moves, like the large, profitable ones outlined previously that hit targets across many pairs, emerge directly from analyzing all four asset classes.

PREPARING FOR FUTURE CONTENT: RE-ENGAGING WITH MULTI-ASSET ANALYSIS

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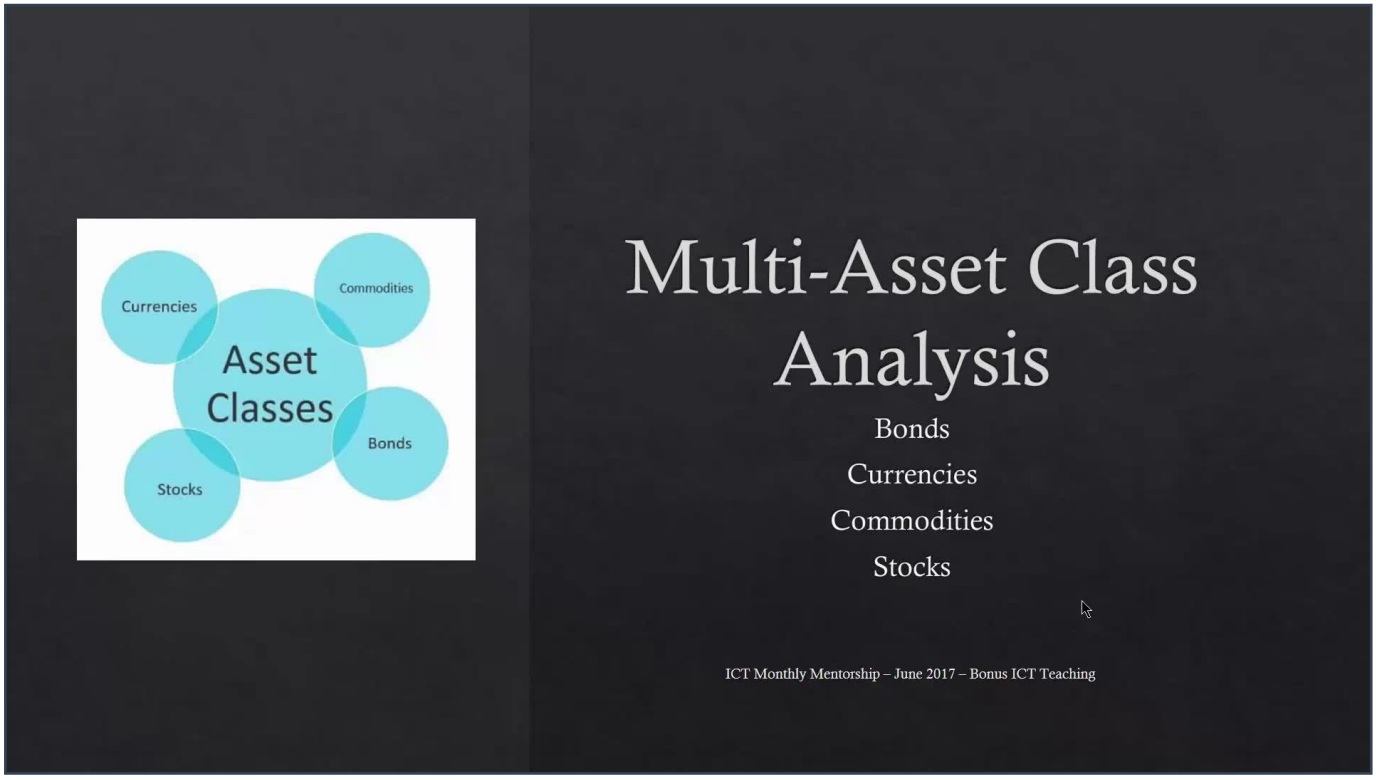

To fully comprehend the 'top-down' PDF files in August, you need to begin internalizing the concepts related to the four asset classes.

- Focus on the reference points and what they communicate about the general market.

- It is suggested to review this month's teachings again, concentrating on the discussion points for each asset class and drawing parallels.

- This re-engagement will build a foundational understanding, leading to a moment of 'astonishment' when reviewing the August templates, clarifying the purpose of the June content and dispelling any initial feelings that it was a waste of time. Good luck and good trading.